APPENDIX IV

AfCFTA RULES OF ORIGIN

(to be inserted)

ANNEX 3

CUSTOMS CO-OPERATION AND MUTUAL ADMINISTRATIVE ASSISTANCE

Article 1

Definitions

For purposes of this Annex, the following definitions shall apply:

(a) **"Customs**'' means the Government service responsible for the administration of the Customs Law and the collection of duties and taxes and which also has the responsibility for the application of other laws and regulations relating to the importation, exportation, movement or storage of goods;

(b) **"Customs Authority"** means the administrative authority responsible for administering Customs Laws in a State Party;

(c) **"Customs Cooperation"** means collaboration among Customs Authorities aimed at the simplification of procedures and the improvement of Trade Facilitation, with the intention to enhance regulation of trade flows and enforcement of applicable laws in the State Parties by establishing international customs standards and harmonised customs procedures as outlined in this Annex;

(d) **"Customs Law"** means the statutory and regulatory provisions related to importation, exportation and movement or storage of goods, the administration and enforcement of which are specifically charged to the Customs Authorities and any regulations made by the Customs Authorities under their statutory powers;

(e) **"Customs Offence"** means any breach or attempted breach of Customs Laws of a State Party;

(f) **"Mutual Administrative Assistance"** means actions of a Customs Authority on behalf of or in collaboration with another Customs Authority for the proper application of Customs Laws and for the prevention, investigation and repression of Customs Offences;

(g) "**Trade Facilitation**" means the simplification and harmonisation of international trade procedures, including activities, practices, and formalities involved in collecting, presenting, communicating, and processing data required for the movement of goods in international trade.

Article 2

Objectives and Scope

1. State Parties, through their Customs Authorities, and in accordance with the provisions set out in this Annex, shall afford each other:

(a) cooperation in all areas of Customs administration aimed at improving the regulation of trade flows and the enforcement of applicable laws within the State Parties, by:

(i) providing for common measures for which State Parties are encouraged to comply with in the formulation of their Customs Law and procedures; and

(ii) establishing appropriate institutional arrangements at continental, regional and national levels.

(b) Mutual Administrative Assistance within the scope of this Annex to:

(i) ensure that the Customs Law in their territories are observed;

(ii) prevent, investigate and combat customs offences;

(iii) make available documents necessary for the application of Customs Law;

(iv) facilitate the simplification and harmonisation of their customs procedures; and

(v) ensure the smooth flow of trade and the integrity of the international supply chain.

2. State Parties shall cooperate in the form of Mutual Administrative Assistance in accordance with the framework of the Agreement within their competence and available resources of their Customs Authorities.

3. Cooperation in Customs matters shall apply to any administrative authority of State Parties that is competent in matters covered by Customs Law. This co-operation shall be channeled through the Customs Authorities of the State Parties.

4. The provisions of this Annex shall not provide a right on the part of any private person to obtain, suppress or exclude any evidence or to impede the execution of a request.

Article 3

Harmonisation of Customs Tariff Nomenclatures and Statistical Nomenclatures

1. The Council of Ministers may allow exceptions in the application of the provisions of this Article as would be allowed in the application of the provisions of the Harmonised System (HS) convention, provided that it is satisfied that such exceptions will not hinder the comparison of customs tariffs and trade statistics among State Parties.

2. Subject to the exceptions referred to in paragraph 1 of this Article:

(a) each State Party undertakes to adopt customs tariff nomenclatures and statistical nomenclatures which are in conformity with the applicable version

of the HS. Accordingly, in respect of its nomenclatures, each State Party shall:

(i) use all the headings and sub-headings of the HS without addition or modification, together with their related numerical codes;

(ii) apply the general rule for the interpretation of the HS;

(iii) follow the numerical sequence of the HS; and

(b) each State Party shall regularly publish, in a format that is easily accessible, its import and export trade statistics in conformity with the six-digit codes of the HS, or at the initiative of the State Party, beyond that level, unless publication is precluded for exceptional reasons such as commercial confidentiality or national security.

3. In complying with the undertakings in paragraph 2(a) of this Article, each State Party may make such textual adaptations as may be necessary to give effect to the HS in its domestic law.

4. Nothing in this Article shall prevent a State Party from establishing, in its customs tariff or statistical nomenclatures, sub-divisions classifying goods beyond the six-digit level of the HS, provided that such sub-divisions are as set out in the HS.

Article 4

Harmonisation of Valuation Systems and Practices

State Parties undertake to adopt a system of valuing goods for customs purposes based on the principles of non-discrimination, transparency and uniform application of such a system in accordance with Article VII of GATT on Valuation for Customs Purposes.

Article 5

Simplification and Harmonisation of Customs Procedures

1. State Parties are encouraged to cooperate on the use of relevant international standards or parts thereof as a basis for their import, export or transit formalities and procedures except as otherwise provided for in this Annex.

2. Pursuant to paragraph 1 of this Article, State Parties undertake:

(a) that their respective Customs Laws and procedures shall be based on internationally accepted instruments and standards, practices and guidelines applicable in the field of customs and trade such as the Revised Kyoto Convention on the Simplification and Harmonisation of Customs Procedures and WTO Trade Facilitation Agreement;

(b) to use internationally accepted standards, practices and guidelines, as a basis for designing and standardising their trade documents and the information required to be contained in such documents; and

(c) the principles of promotion and facilitation of legitimate trade through effective enforcement of commitments contained in this Annex.

Article 6

Automation of Customs Operations

1. State Parties undertake to establish, use and continually upgrade modern data processing systems to facilitate effective and efficient Customs operations and transmission of trade data amongst themselves.

2. State Parties are encouraged to ensure that their respective Customs Authorities shall:

   (a) use internationally accepted standards, especially those adopted by the World Customs Organisation (WCO);

   (b) develop or adopt interconnectivity of computerised Customs clearance and information systems in collaboration with stakeholders; and

   (c) facilitate the exchange of data with stakeholders.

Article 7

Advance Exchange of Information

1. State Parties shall endeavour to exchange information covered by this Annex in advance of the arrival of persons, goods and means of transport in their respective territories, which may be done manually or electronically on an automatic basis.

2. State Parties may, electronically on an automatic basis under set terms and conditions consistent with the Agreement, exchange any information covered by this Annex in advance of the arrival of persons, goods and means of transport in the territory of another State Party

Article 8

Prevention, Investigation and Suppression of Customs Offences

1. State Parties shall co-operate in the prevention, investigation and suppression of Customs offences. In this regard, each State Party shall designate and inform other State Parties of its Customs contact point.

2. For purposes of paragraph 1 of this Article, State Parties shall:

(a) exchange lists of Goods the importation of which is prohibited in their respective territories;

(b) prohibit the exportation of Goods referred to in sub-paragraph (a) of this paragraph to the relevant territories;

(c) in cases where they share a common border:

(i) exchange lists of Customs offices located along the common border together with details of their powers, working hours, and any changes thereto;

(ii) consult each other on the establishment of border posts in close proximity to each other and take such steps as may be appropriate to ensure goods pass through those border posts and along jointly approved routes; and

(iii) endeavour to align the capabilities and harmonise the working hours of their corresponding Customs offices; and

(d) maintain special surveillance over the following:

(i) entry into, sojourn in, and exit from their territories of persons reasonably suspected of involvement in activities that are contrary to the Customs Laws of any State Party;

(ii) movement of goods reasonably suspected of being the subject of illegal traffic;

(iii) places in proximity to the border where stocks of goods have been built up causing reasonable suspicion of being used for illegal cross-border trade; and

(iv) vehicles, ships, aircraft, or other means of transport under reasonable suspicion of being used to commit Customs Offences in any State Party.

3. State Parties shall provide, upon request, and without delay, all available information regarding:

(a) operations which cause reasonable suspicion of the commission of Customs Offences in any State Party;

(b) persons, vehicles, ships, aircraft and other means of transport reasonably suspected of involvement in activities that may violate the Customs Laws of any State Party;

(c) Goods known to be the subject of illegal traffic;

(d) Customs documents relating to importation and exportation of goods which are reasonably suspected of being in violation of the Customs Laws of the requesting State Party;

(e) Customs documents relating to such exchange of goods between State Parties that are suspected of being in violation of the Customs Law of the requesting State Party; and

(f) Certificates of Origin, invoices or any other documents, that are or reasonably suspected to be forged or otherwise fraudulently produced.

Article 9

Request, Exchange and Provision of Information

1. In case of reasonable doubt as to the truthfulness or accuracy of an import or export declaration, State Parties shall, upon request and subject to the provisions of this Article, promptly provide all necessary information orally or in writing or through any other appropriate means including specific information as set out in, but not limited to the import or export declaration, commercial invoice, packing list, certificate of origin and bill of lading. This shall not affect the right of the economic operators to confidentiality and privacy under the relevant national law.

2. In order to ensure the effective implementation of paragraph 1 of this Article, and upon entry into force of the Agreement, each State Party shall notify the details of the responsible national contact points to the Secretariat.

3. Before submitting a request for information, a State Party shall undertake all necessary verifications relating to the relevant import or export declaration.

4. Each State Party undertakes, whenever expressly requested by another State Party, to:

   (a) make enquiries, record statements and obtain evidence concerning a Customs Offence under investigation in the requesting State Party and transmit the results of the enquiry and any documents or other evidence, to the requesting State Party; and

   (b) notify the competent authorities of the requesting State Party of actions and decisions taken by the competent authorities of the State Party where the alleged Customs Offence took place in accordance with the law in force in that State Party.

5. The requesting State Party shall take into account the associated resource and cost implications for the requested State Party in responding to requests for information. In doing so, the requesting State Party shall consider the proportionality between its fiscal interest in pursuing its request and the efforts to be made by the requested State Party in providing the information.

6. Modalities for the implementation of this Article shall be subject to arrangements to be made on a case by case basis between the requesting and the requested State Parties.

Article 10
Protection and Confidentiality

To ensure the protection and confidentiality of information requested, pursuant to this Annex, the requesting State Party shall:

(a) grant the requested information the same level of confidentiality as that which is provided under the domestic law of the requested State Party;

(b) use the information solely for the purpose stated in the request;

(c) not disclose the information without the written consent of the requested State Party;

(d) not use any unverified information as the deciding factor towards alleviating the doubt in any given circumstance;

(e) respect any case-specific conditions set out by the requested State Party regarding retention and disposal of confidential information and personal data; and

(f) upon request, inform the requested State Party of any decisions and actions taken on the matter as a result of the information provided.

Article 11
Technical Cooperation

1. In order to continue to enhance their capacities in customs matters, State Parties shall endeavour to:

   (a) develop joint training programmes;

   (b) exchange staff and share training facilities and resources;

   (c) exchange professional, scientific and technical data relating to Customs Laws and procedures;

   (d) support each other in the modernisation of customs procedures including e-customs and electronic data interchange applications;

   (e) support each other in the implementation of trade facilitation measures and simplification of customs procedures; and

   (f) exchange any other data that can assist Customs Authorities with risk management for control and facilitation purposes.

2. States Parties shall notify the Secretariat of all activities undertaken pursuant to paragraph 1 of this Article.

Article 12
Communication of Customs Information

1. State Parties shall exchange information on matters relating to customs particularly on the following:

   (a) changes in Customs Law or any other relevant domestic legislation, procedures and duties and commodities subject to import or export restrictions;

   (b) information relating to the prevention, investigation and suppression of Customs Offences;

   (c) information required to implement and administer Customs Laws and regulations; and

   (d) any other information deemed necessary by the Sub-Committee.

2. For purposes of paragraph 1 of this Article, State Parties may adopt loose-leaf editions of national customs tariff schedules.

Article 13
Sub-Committee on Trade Facilitation, Customs Cooperation and Transit

1. The Committee on Trade in Goods shall, in accordance with Article 31 of the Protocol on Trade in Goods, establish a Sub-Committee on Trade Facilitation, Customs Cooperation and Transit.

2. The Sub-Committee shall be composed of duly designated representatives from State Parties and shall carry out the responsibilities assigned to it under this Annex or by the Committee on Trade in Goods.

Article 14
Dispute Settlement

Any dispute between the State Parties arising out of or relating to the interpretation or application of any provision of this Annex shall be settled in accordance with the Protocol on Rules and Procedures on the Settlement of Disputes.

Article 15
Review and Amendment

This Annex shall be subject to review and amendments in accordance with Articles 28 and 29 of the Agreement.

ANNEX 4

TRADE FACILITATION

Article 1

Definitions

For purposes of this Annex, the following definitions shall apply:

(a) **"Advance Ruling"** means a written decision provided by a State Party to an applicant prior to the importation of goods covered by the application that sets forth the treatment that the State Party shall provide to the good at the time of importation;

(b) **"Applicant**" in relation to advance rulings means the exporter, importer, producer or any person with justifiable cause or a representative thereof;

(c) "**Customs Law**" means the statutory and regulatory provisions related to importation, exportation and movement or storage of goods, the administration and enforcement of which are specifically charged to the Customs Authorities and any regulations made by the Customs Authorities under their statutory powers;

(d) "**Expedited shipments**" means those goods which require rapid clearance as a matter of priority due to their nature or because they are meant to meet a justified urgent need;

(e) **"Perishable goods**" means goods that rapidly decay due to their natural characteristics, in particular in the absence of appropriate storage conditions;

(f) "**Release of Goods**" means the action by Customs to permit goods undergoing clearance to be placed at the disposal of the persons concerned;

(g) **"Risk management**" means the systematic identification of risk and implementation of all measures necessary for limiting exposure to risk;

(h) "**Single window**" means a facility that allows parties involved in trade and transport to lodge standardised information and documents with a single entry point to fulfil all import, export and transit-related regulatory requirements, and in the case of electronic information, the single submission of individual data elements;

(i) "**Trade Facilitation"** means the simplification and harmonisation of international trade procedures, including activities, practices, and formalities involved in collecting, presenting, communicating, and processing data required for the movement of goods in international trade; and

"**Transit"** means the Customs procedure under which goods are transported under Customs control from one Customs office to another.

Article 2

Objectives

The objectives of this Annex are to:

(a) simplify and harmonise international trade procedures and logistics to expedite the processes of importation, exportation and transit; and

(b) expedite the movement, clearance and release of goods including goods in transit across borders within State Parties.

Article 3

General Principles

The provisions of this Annex shall be interpreted and applied in accordance with the principles of transparency, simplification, harmonisation and standardisation of Customs Law, procedures and requirements.

Article 4

Publication

1. Each State Party shall, to the extent possible, promptly publish on the internet the following information in a non-discriminatory and easily accessible manner in order to enable State Parties, traders, and other interested parties to become acquainted with them:

   (a) a description of procedures and practical steps needed for importation, exportation, and transit, including port, airport, and other entry-point procedures, and required forms and documents;

   (b) the documentation and data it requires, and the form that needs to be completed for import into, export from, or transit through its territory;

   (c) its laws, regulations, and procedures for import into, export from or transit through its territory;

   (d) applied rates of duties and taxes of any kind imposed on or in connection with importation or exportation;

   (e) fees and charges imposed by or for governmental agencies on or in connection with importation, exportation or transit;

   (f) rules for the classification or valuation of products for customs purposes;

(g) laws, regulations, and administrative rulings of general application relating to rules of origin;

(h) import, export or transit restrictions or prohibitions;

(i) penalty provisions for breaches of import, export, or transit formalities;

(j) procedures for appeal or review;

(k) agreements or parts thereof with any country or countries relating to importation, exportation, or transit;

(l) procedures relating to the administration of tariff quotas;

(m) contact information for its enquiry point or points designated or maintained pursuant to Article 5 of this Annex; and

(n) import and export guidelines.

2. State Parties shall be free to make this information available by any other means.

Article 5

Enquiry Points

1. Each State Party shall establish and maintain one or more enquiry points to answer reasonable enquiries of State Parties, traders and other interested parties on matters covered in Article 4 of this Annex.

2. Each State Party shall ensure that its enquiry points respond to enquiries within a reasonable period of time.

3. State Parties shall notify the Secretariat of the contact information of the enquiry points referred to in paragraph 1 of this Article.

Article 6

Advance Rulings

1. Each State Party shall issue, prior to the importation of a good into its territory, a written Advance Ruling within a reasonable period of time to an Applicant that has submitted a written application. The application shall contain all necessary information for the State Party to issue the Advance Ruling.

2. The application referred to in paragraph 1 of this Article relates to the following:

   (a) the good's tariff classification; and

   (b) the origin of the good.

3. In addition, State Parties are encouraged to issue Advance Rulings on the following:

(a) application of criteria it uses to determine the customs value of the good in accordance with the Agreement on Implementation of Article VII of GATT 1994;

(b) application of duty drawback, deferral, or other schemes of relief that reduce, reimburse, or waive customs duties;

(c) the preferential treatment for which the good qualifies;

(d) country of origin labelling requirements, including placement and method of marking;

(e) whether the good is subject to a quota or tariff-rate quota; and

(f) such other matters as the State Party may decide.

4. Notwithstanding paragraph 1 of this Article, a State Party may decline to issue an Advance Ruling where the question or facts and circumstances raised are the subject of administrative or judicial review or where the application does not relate to any intended use of the Advance Ruling.

5. If a State Party declines to issue an Advance Ruling, it shall promptly notify the Applicant in writing, setting out the relevant facts and the basis for its decision.

6. The Advance Ruling shall be valid for at least six (6) months from the date of its issuance unless the law, facts, or circumstances supporting that ruling have changed.

7. Each State Party shall publish:

(a) the requirements for the application for an Advance Ruling, including the information to be provided and the format;

(b) the time period by which it will issue an Advance Ruling; and

(c) the length of time for which the Advance Ruling is valid.

8. Where a State Party revokes, modifies, or invalidates an Advance Ruling, it shall provide written notice to the Applicant, setting out the relevant facts and the basis for its decision. Where the State Party revokes, modifies, or invalidates an Advance Ruling with retroactive effect, it may only do so where the ruling was based on false or misleading information.

9. Each State Party shall provide, upon written request of an Applicant, an administrative review of the Advance Ruling or of the decision to revoke, modify, or invalidate it.

10. An Advance Ruling issued by a State Party shall be binding throughout its territory.

11. Each State Party shall endeavour to make its Advance Rulings publicly available on the internet, taking into account the need to protect commercially confidential information. A State Party may redact portions of an Advance Ruling for reasons of confidentiality in accordance with its laws, regulations and procedures.

Article 7

Pre-arrival Processing

1. Each State Party shall adopt or maintain procedures allowing for the submission of import documentation and other required information, including manifests, in order to begin processing prior to the arrival of goods with a view to expediting the release of goods upon arrival.

2. Each State Party shall, where appropriate, provide for advance lodging of documents in electronic format for pre-arrival processing of such documents.

Article 8

Electronic Payment

Each State Party shall, to the extent practicable, adopt or maintain procedures allowing the option of electronic payment for duties, taxes, fees, and charges collected by Customs incurred upon importation and exportation.

Article 9

Separation of Release from Final Determination of Customs Duties, Taxes, Fees and Charges

1. Each State Party shall adopt or maintain procedures allowing the release of goods prior to the final determination of customs duties, taxes, fees, and charges, if such a determination is not done prior to, or upon arrival, or as rapidly as possible after arrival and provided that all other regulatory requirements have been met.

2. As a condition for such release, a State Party may require:

   (a) payment of customs duties, taxes, fees, and charges determined prior to or upon arrival of goods and a guarantee for any amount not yet determined in the form of a surety, a deposit or another appropriate instrument provided for in its laws and regulations; or

   (b) a guarantee in the form of a surety, a deposit, or another appropriate instrument provided for in its laws and regulations.

3. Such guarantee shall not be greater than the amount the State Party requires to ensure payment of customs duties, taxes, fees, and charges ultimately due for the goods covered by the guarantee.

4. In cases where an offence requiring imposition of monetary penalties or fines has been detected, a guarantee may be required for the penalties and fines that may be imposed.

5. The guarantee as set out in paragraphs 2 and 4 of this Article shall be discharged when it is no longer required.

6. Nothing in this Article shall affect the rights of a State Party to examine, detain, seize, confiscate or deal with the goods in any manner not otherwise inconsistent with the State Party's rights and obligations under the Agreement.

Article 10

Risk Management

1. Each State Party shall, to the extent possible, adopt or maintain a Risk management system for customs control.

2. Each State Party shall design and apply Risk management in a manner as to avoid arbitrary or unjustifiable discrimination, or a disguised restriction on international trade.

3. Each State Party shall concentrate customs control and, to the extent possible other relevant border controls, on high-risk consignments and expedite the release of low-risk consignments. A State Party may select, on a random basis, consignments for such controls as part of its Risk management.

4. Each State Party shall base Risk management on an assessment of risk through appropriate selectivity criteria. Such selectivity criteria may include, inter alia, the Harmonised System code, nature and description of the goods, country of origin, country from which the goods were shipped, value of the goods, compliance record of traders, and type of means of transport.

Article 11

Post-clearance Audit

1. With a view to expedite the release of goods, each State Party shall adopt or maintain post clearance audit to ensure compliance with Customs and other related laws and regulations.

2. Each State Party shall select a person or a consignment for post-clearance audit in a risk-based manner, which may include appropriate selectivity criteria. Each State Party shall conduct post clearance audits in a transparent manner. Where the person is involved in the audit process and conclusive results have been achieved, the State Party shall, without delay, notify the person whose record is audited, of the results, the person's rights and obligations, and the reasons for the results.

3. The information obtained in post-clearance audit may be used in further administrative or judicial proceedings.

4. State Parties shall, wherever practicable, use the result of post-clearance audit in applying Risk management.

Article 12

Establishment and Publication of Average Release Times

1. State Parties are encouraged to measure and publish their average release time of goods periodically and in a consistent manner, using tools such as the Time Release Study of the World Customs Organization (referred to in this Annex as the "WCO").

2. Each State Party may determine the scope and methodology of such average release time measurement in accordance with its needs and capacity.

3. State Parties are encouraged to share with the Sub-Committee on Trade Facilitation, Customs Cooperation and Transit their experiences in measuring average release times, including methodologies used, bottlenecks identified, and any resulting effects on efficiency.

Article 13

Trade Facilitation Measures for Authorised Operators

1. Each State Party shall provide additional Trade Facilitation measures related to import, export, or transit formalities and procedures, pursuant to paragraph 4 of this Article, to operators who meet specified criteria, hereinafter called Authorised Operators. Alternatively, a State Party may offer such Trade Facilitation measures through customs procedures generally available to all operators and is not required to establish a separate scheme.

2. The specified criteria to qualify as an Authorised Operator shall be related to compliance or the risk of non-compliance with requirements specified in a State Party's laws, regulations or procedures.

3. The criteria referred to in paragraph 2 of this Article shall be published and may include:

   (a) an appropriate record of compliance with customs and other related laws and regulations;

   (b) a system of managing records to allow for necessary internal controls;

   (c) financial solvency, including, where appropriate, provision of a sufficient security or guarantee; and

   (d) supply chain security.

4. The criteria referred to in paragraph 3 of this Article shall not:

   (a) be designed or applied so as to afford or create arbitrary or unjustifiable discrimination between operators where the same conditions prevail; and

(b) to the extent possible, restrict the participation of small and medium-sized enterprises.

5. The Trade Facilitation measures provided pursuant to paragraph 1 of this Article shall include at least three (3) of the following measures[5]:

(a) low documentary and data requirements, as appropriate;

(b) low rate of physical inspections and examinations, as appropriate;

(c) rapid release time, as appropriate;

(d) deferred payment of duties, taxes, fees and charges;

(e) use of comprehensive guarantees or reduced guarantees;

(f) a single customs declaration for all imports or exports in a given period; and

(g) clearance of goods at the premises of the Authorised Operator or another place authorised by Customs.

6. State Parties are encouraged to develop Authorised Operator schemes on the basis of international standards, where such standards exist, except when such standards would be an inappropriate or ineffective means for the fulfilment of the legitimate objectives pursued.

7. In order to enhance the Trade Facilitation measures provided to operators, State Parties shall afford to other State Parties the opportunity of negotiating mutual recognition of Authorised Operator schemes.

8. State Parties shall exchange relevant information within the Sub- Committee on Trade Facilitation, Customs Cooperation and Transit about Authorised Operator schemes in force.

Article 14

Expedited Shipments

1. Each State Party shall adopt or maintain procedures allowing for the expedited release of at least those goods entered through air cargo facilities to persons who apply for such treatment, while maintaining customs control.[6] If a State Party employs criteria[7] limiting who may apply, the State Party may, in published criteria, require that the Applicant shall,

[5] A measure listed in paragraphs 3 of this Article from (a) to (g) will be deemed to be provided to authorized operators if it is generally available to all operators

[6] In cases where a State Party has an existing procedure that provides the treatment in paragraph 2 in this Article, this provision does not require that State Party to introduce separate expedited release procedures.

[7] Such application criteria, if any, shall be in addition to the State Party's requirements for operating with respect to all goods or shipments entered through air cargo facilities.

as conditions for qualifying for the application of the treatment described in paragraph 2 of this Article to its expedited shipments:

(a) provide adequate infrastructure and payment of customs expenses related to processing of expedited shipments in cases where the applicant fulfils the State Parties' requirements for such processing to be performed at a dedicated facility;

(b) submit in advance of the arrival of an expedited shipment the information necessary for the release;

(c) be assessed fees limited in amount to the approximate cost of services rendered in providing the treatment described in paragraph 2 of this Article;

(d) maintain a high degree of control over expedited shipments through the use of internal security, logistics, and tracking technology from pick-up to delivery;

(e) provide expedited shipment from pick-up to delivery;

(f) assume liability for payment of all customs duties, taxes, fees, and charges to the customs authority for the goods;

(g) have a good record of compliance with customs and other related laws and regulations; and

(h) comply with other conditions directly related to the effective enforcement of the State Parties' laws, regulations, and procedural requirements that specifically relate to providing the treatment described in paragraph 2 of this Article.

2. Subject to paragraphs 1 and 3 of this Article, State Parties shall:

(a) minimise the documentation required for the release of expedited shipments in accordance with paragraph 1 of Article 10 and, to the extent possible, provide for release based on a single submission of information on certain shipments;

(b) provide for expedited shipments to be released under normal circumstances as rapidly as possible after arrival, provided the information required for release has been submitted;

(c) endeavour to apply the treatment in subparagraphs (a) and (b) to shipments of any weight or value recognising that a State Party is permitted to require additional entry procedures, including declarations and supporting documentation and payment of duties and taxes, and to limit such treatment

based on the type of goods, provided the treatment is not limited to low value goods; and

(d) provide, to the extent possible, for a de minimis shipment value or dutiable amount for which customs duties and taxes will not be collected, aside from certain prescribed goods. Internal taxes, such as value added taxes and excise taxes, applied to imports consistently with Article III of the GATT 1994 are not subject to this provision.

3. Nothing in paragraphs 1 and 2 of this Article shall affect the rights of a State Party to examine, detain, seize, confiscate or refuse entry of goods, or to carry out post-clearance audits, including the use of Risk management systems.

4. Further, nothing in paragraphs 1 and 2 of this Article shall prevent a State Party from requiring, as a condition for release, the submission of additional information and the fulfilment of non-automatic licensing requirements.

Article 15

Perishable Goods

1. Each State Party shall, with a view to preventing avoidable loss or deterioration of perishable goods, and provided that all regulatory requirements have been met, provide for the release of perishable goods:

(a) under normal circumstances within the shortest possible time; and

(b) in exceptional circumstances where it would be appropriate to do so, outside the business hours of customs and other relevant authorities.

2. Each State Party shall give appropriate priority to perishable goods when scheduling any examinations that may be required.

3. Each State Party shall either arrange or allow an importer to arrange for the proper storage of perishable goods pending their release.

4. Each State Party may require that any storage facilities arranged by the importer have been approved or designated by its relevant authorities.

5. The movement of the goods to the storage facilities, including authorisations for the operator moving the goods, may be subject to the approval, where required, of the relevant authorities.

6. A State Party shall, where practicable and in accordance with domestic legislation, upon the request of an importer, provide for any procedures necessary for release to take place at those storage facilities.

Article 16

Use of International Standards

1. Each State Party shall endeavour to use international standards and elements for import, export and transit data maintenance and reporting that are consistent with international best practice.

2. Each State Party shall share, through the Secretariat, relevant information and best practices, on the implementation of international standards for import, export, or transit procedures as appropriate.

3. The State Parties shall, as appropriate, discuss specific standards for import, export, or transit procedures whether and/or how they contribute to Trade Facilitation.

Article 17

Use of Information Technology

1. Each State Party shall, to the extent practicable, use the most modern information and communications technology to expedite procedures for the release of goods, including those in transit.

2. In the fulfilment of the obligations referred to in paragraph 1 of this Article, each State Party shall endeavour to:

   (a) make available by electronic means any declaration or other form that is required for the import, export or transit of goods;

   (b) allow documentation for import, export, or transit to be submitted electronically;

   (c) establish an electronic system for data exchange relating to trade information which is accessible and continuously promote data exchange by the importers, exporters and persons engaged in transit of goods; and

   (d) collaborate with other State Parties for the implementation of mutually compatible electronic systems that enable the intergovernmental exchange of trade data amongst the State Parties.

Article 18

Single Window

1. State Parties shall endeavour to establish and maintain a Single Window, enabling traders to submit documentation and/or data requirements for importation, exportation, or Transit of goods through a single entry point to the participating national authorities. After the examination by the national authorities of the documentation and / or data, the results shall be notified to the applicants through the Single Window in a timely manner.

2. In cases where documentation and / or data requirements have already been fulfilled through the Single Window, the same documentation and / or data requirements shall not be required by national authorities except in urgent circumstances and other limited exceptions which are made public.

3. State Parties shall notify the Secretariat of the details of operation of the Single Window.

4. State Parties shall, to the extent practicable, use information technology to support the single window.

Article 19

Freedom of Transit

Each State Party shall ensure the freedom of transit through its territories in accordance with Article V of GATT 1994 and Article 11 of the WTO Agreement on Trade Facilitation.

Article 20

Documentation

1. Each State Party shall apply uniform import, export, and Transit procedures and uniform documentation requirements for the release of goods throughout its territory.

2. Nothing in this Article shall prevent a State Party from differentiating its import, export, and Transit procedures and documentation requirements based on:

   (a) the nature and type of goods, or their means of transport; and

   (b) risk management.

3. Each State Party shall periodically review, and based on the results of the review, ensure, as appropriate, that import, export, and transit procedures and documentation requirements are:

   (a) adopted and applied with a view to prompt release of goods;

   (b) adopted and applied in a manner that reduces the time and cost of compliance with such procedures;

   (c) the least trade-restrictive measure available to the State Party, taking into account its financial capabilities, in order to achieve its policy objectives; and

   (d) removed forthwith if no longer required to fulfil the State Party's policy objectives in question.

4. Each State Party shall, to the extent possible, accept paper or electronic copies of documents required for importation, exportation or transit of goods through its territory.

Article 21

Fees, Charges and Penalties

1. Each State Party shall ensure, in accordance with Articles II, V and VIII of the GATT, that all fees and charges of whatever character other than customs duties imposed on or in connection with importation, exportation or Transit shall be limited in amount to the approximate cost of services rendered, which shall not be calculated on an *ad valorem* basis, and shall not represent an indirect protection to domestic goods or a taxation of imports, exports or goods in transit for fiscal purposes.

2. Each State Party shall publish a list of fees and charges referred to in paragraph 1 of this Article as well as any amendments thereto. Such fees and charges shall not be applied until information on them has been published.

3. Each State Party shall periodically review its fees and charges with a view to reducing their number and diversity, where practicable.

4. Each State Party shall ensure that the penalty for the breach of a Customs Law, regulation, or procedural requirement is imposed only on the person or persons responsible for the breach under its laws.

5. The penalty imposed shall depend on the facts and circumstances of the case and shall be commensurate with the degree and severity of the breach.

6. Each State Party shall ensure that it maintains measures to avoid:

   (a) conflicts of interest in the assessment and collection of penalties and duties; and

   (b) creating an incentive for the assessment or collection of a penalty that is inconsistent with paragraph 5 of this Article.

7. Each State Party shall ensure that when a penalty is imposed for a breach of Customs Laws, regulations, or procedural requirements, an explanation in writing is provided to the person or persons upon whom the penalty is imposed specifying the nature of the breach and the applicable law, regulation or procedure under which the amount or range of penalty for the breach has been prescribed.

8. When a person voluntarily discloses to a State Party's Customs Authority the circumstances of a breach of a Customs Law, regulation, or procedural requirement prior to the discovery of the breach by the Customs Authority, the State Party is encouraged to, where appropriate, consider this fact as a potential mitigating factor when establishing a penalty for that person.

9. The provisions of this Article shall apply to the penalties on traffic in Transit.

10. For purposes of this Article, the term "penalties" shall mean those imposed by a State Party's Customs Authority for a breach of the State Party’s Customs Laws, regulations, or procedural requirements.

Article 22

Review and Appeal

1. Each State Party shall provide that any person to whom Customs Authorities issue an administrative decision has the right, within its territory, to:

   (a) an administrative appeal to, or review by, an administrative authority higher than or independent of the official or office that issued the decision; and/or

   (b) a judicial appeal or review of the decision.

2. Each State Party shall ensure that an authority conducting a review under paragraph 1 of this Article promptly notifies the person affected of its decision and the reasons thereof in writing.

3. Where a person receives a decision on administrative or judicial review as provided for under paragraph 1 of this Article, that decision shall be applicable in the same manner throughout the territory of the State Party with respect to the same goods.

Article 23

Use of Customs Brokers

1. Without prejudice to the important policy concerns of some State Parties that currently maintain a special role for customs brokers, from the entry into force of this Agreement, State Parties shall not introduce the mandatory use of customs brokers.

2. Each State Party shall notify the Secretariat and publish its measures on the use of customs brokers. Any subsequent modifications thereof shall be notified and published promptly.

3. With regard to the licensing of customs brokers, State Parties shall apply rules that are transparent and objective.

Article 24

Pre-shipment Inspection

Each State Party shall not require the use of pre-shipment inspection entities in relation to tariff classification or customs valuation.

Article 25

Border Agency Cooperation

1. Each State Party shall ensure that its authorities and agencies responsible for border control and procedures dealing with the importation, exportation and Transit

of goods cooperate with one another and coordinate their activities in order to facilitate trade.

2. State Parties shall, to the extent possible and practicable, cooperate on mutually agreed terms with other State Parties with whom they share a common border with a view to coordinating procedures at border crossings to facilitate cross-border trade. Such cooperation and coordination may include:

(a) alignment of working days and hours;

(b) alignment of procedures and formalities;

(c) development and sharing of common facilities;

(d) joint controls; and

(e) establishment of one stop border post control.

Article 26

Other Measures to Facilitate Trade

1. State Parties recognise the importance of cooperation in order to expedite the movement of goods and reduce the cost of doing business and the volume of paper work in respect of trade within the AfCFTA.

2. The Secretariat shall keep State Parties informed regarding trade facilitation activities, instruments, recommendations and guidelines of other international organisations, particularly of:

a) The UN Economic Commission for Africa (UNECA);

b) The United Nations Conference on Trade and Development (UNCTAD);

c) The World Customs Organisation (WCO);

d) The International Maritime Organisation (IMO);

e) The International Civil Aviation Organisation (ICAO);

f) The International Standards Organisation (ISO);

g) The International Chamber of Commerce (ICC) and the International Bureau of Chamber of Commerce (IBCC);

h) The International Air Transport Association (IATA);

i) The International Chamber of Shipping (ICS); and

j) The World Trade Organisation (WTO).

Article 27

Sub-Committee on Trade Facilitation, Customs Cooperation and Transit

1. The Committee on Trade in Goods shall, in accordance with Article 31 of the Protocol on Trade in Goods, establish a Sub-Committee on Trade Facilitation, Customs Cooperation and Transit.

2. The Sub-Committee shall be composed of duly designated representatives from State Parties and shall carry out the responsibilities assigned to it under this Annex or by the Committee on Trade in Goods.

Article 28

National Committee on Trade Facilitation

Each State Party shall establish and / or maintain a National Committee on Trade Facilitation or designate an existing mechanism to facilitate both domestic coordination and implementation of the provisions of this Annex.

Article 29

Implementation

1. State Parties shall expedite the implementation of this Annex.

2. The extent and the timing of implementation of the provisions of this Annex shall be related to the implementation capacities of State Parties, the Sub-Committee for Trade Facilitation, Customs Cooperation and Transit or as notified under the WTO Agreement on Trade Facilitation.

Article 30
Dispute Settlement

Any dispute between the State Parties arising out of or relating to the interpretation or application of any provision of this Annex shall be settled in accordance with the Protocol on Rules and Procedures on the Settlement of Disputes.

Article 31
Review and Amendment

This Annex shall be subject to review and amendments in accordance with Articles 28 and 29 of the Agreement.

ANNEX 5
NON-TARIFF BARRIERS

Article 1
Definitions

For purposes of this Annex, the following definitions shall apply:

(a) **"Facilitator"** means an independent expert or person agreed upon by Interested Parties in accordance with paragraph 2.2 of Appendix 2 of this Annex;

(b) **"Interested Party"** means a Party that is directly affected by the Non-Tariff Barriers (hereinafter referred to as NTBs) under discussion;

(c) **"National Focal Point"** means Ministry, government department or any other authorised body as designated pursuant to Article 5 of this Annex;

(d) **"National Monitoring Committee"** means committee of relevant stakeholders from private and public sectors as established under Article 5 of this Annex;

(e) **"NTB Coordination Unit"** means a unit created in the Secretariat to coordinate the elimination of NTBs pursuant to Article 5 of this Annex;

(f) **"Perishable Goods"** means goods that rapidly decay due to their natural characteristics, in particular in the absence of appropriate storage condition; and

(g) **"Time Bound Elimination Matrix"** means the Non-Tariff Barriers elimination plan for the removal of identified NTBs that is based on the NTBs level of impact on intra-regional trade.

Article 2
Objective and Scope

1. The objective of this Annex is to implement the provisions of the Protocol on Trade in Goods concerning the elimination of NTBs.

2. Without prejudice to the rights and obligations under the World Trade Organization (WTO) Agreements, this Annex provides a mechanism for the identification, categorization and progressive elimination of NTBs within the AfCFTA.

3. This Annex provides for the following:

(a) institutional structures for the elimination of NTBs;

(b) general categorisation of NTBs in the AfCFTA;

(c) reporting and monitoring tools; and

(d) facilitation of resolution of identified NTBs.

Article 3
General Categorisation

1. State Parties may, for guiding purposes, adopt inter alia the general categorisation of potential NTBs as indicated below:

(a) government participation in trade and restrictive practices tolerated by Governments;

(b) customs and administrative entry procedures;

(c) technical Barriers to Trade;

(d) sanitary and Phytosanitary Measures;

(e) specific limitations; and

(f) charges on imports.

2. The general categorisation in paragraph 1 of this Article does not determine the legitimacy, adequacy, necessity or discrimination of any form of policy intervention used in international trade and it does not prejudice the rights and obligations of State Parties under the WTO Agreements.

3. In order to ensure that this general categorisation, sub-categories and sub-classifications evolve and adapt to the changing reality of international trade and data collection needs, the State Parties, through the Secretariat, may propose changes for consideration and concurrence by other State Parties in accordance with Article 17 of this Annex.

4. The descriptions of these categories and sub-categories form Appendix 1 of this Annex.

Article 4
Sub-Committee on Non-Tariff Barriers

1. The Committee on Trade in Goods shall, in accordance with Article 31 of the Protocol on Trade in Goods, establish a Sub-Committee on Non-Tariff Barriers.

2. The Sub-Committee shall be composed of duly designated representatives from State Parties and shall carry out the responsibilities assigned to it under this Annex or by the Committee on Trade in Goods

Article 5
Functions of the NTB Sub-Committee

The main functions of the NTB Sub-Committee shall be:

(a) the development of working procedures for the implementation of this Annex;

(b) monitoring the implementation of this Annex with a view to facilitating periodic review of the Annex and the NTBs mechanism to enhance the elimination of NTBs in the AfCFTA; and

(c) any other NTB -related activities.

Article 6
Establishment of NTB Coordination Unit, National Monitoring Committees and the National Focal Points

1. The Secretariat in liaison with the NTB Sub-Committee shall establish a Unit fo the coordination of NTBs elimination;

2. The State Parties shall:

(a) Establish National Monitoring Committees and National Focal Points on NTBs;

(b) Provide names and addresses of designated National Focal Points to the Secretariat for circulation to States Parties; and

(c) The National Monitoring Committees and the National Focal Points together form part of the Institutional Structures at the National level for the Elimination of NTBs.

Article 7
Functions of the NTB Coordination Unit

The main function of the NTB Coordination Unit, will be to coordinate the elimination of NTBs working together with the NTB Sub-Committee, National Focal Points and Regional Economic Communities (RECs) NTB Units and any other *forum* working in the same area.

Article 8
National Monitoring Committees (NMCs)

1. Each State Party shall establish a National Monitoring Committee

2. The functions of the National Monitoring Committees shall include:

   (a) identifying, resolving and monitoring NTBs;

   (b) defining the process of elimination;

   (c) confirming deadlines for action;

   (d) agreeing on recourse due to non-action;

   (e) defining the mandate and responsibilities of NTB institutional structures, and

   (f) providing clear guidelines to the business community for the resolution of identified NTBs ; and

   (g) any other related activities .

3. The National Monitoring Committee shall comprise of relevant stakeholders representing the private and public sectors.

4. Where a reported measure has been identified as an NTB, but has not been resolved, the NMC shall proceed to include it in the Time Bound Elimination Matrix for further action or resolution as provided for under Article 13 of this Annex.

Article 9
Functions of the National Focal Points

The functions of the National Focal Points on NTBs shall include:

(a) coordinating the implementation of the AfCFTA mechanism for the elimination of NTBs;

(b) providing secretariat services to the National Monitoring Committees (NMC);

(c) facilitating the removal of NTBs and reporting on their elimination;

(d) tracking and monitoring NTBs through utilization of the reporting tools;

(e) providing clear guidelines to the business community on the areas identified as NTBs;

(f) sensitizing stakeholders on the monitoring and evaluation mechanism and NTBs reporting tools;

(g) submitting reports to the Secretariat, on identified and/or resolved NTBs, for record purposes;

(h) providing assistance to the Facilitator in the process of resolving NTBs as necessary; and

(i) any other related activities.

Article 10
RECs NTB Monitoring Mechanisms

1. The RECs shall establish or strengthen NTBs monitoring mechanisms responsible for:

(a) tracking and monitoring NTBs affecting intra-African trade and updating regional and national plans for the elimination of NTBs; and

(b) capacity building and sensitisation of stakeholders on the reporting, monitoring and evaluation tools such as the web based system.

2. Working closely with the NTB Sub-Committee, RECs NTB Units and National Focal Points shall ensure timely and effective resolution of identified NTBs. RECs shall cooperate in resolving identified NTBs with a view to facilitating trade.

3. RECs NTB Monitoring mechanisms shall support the NTB Coordination Unit at the Secretariat in the resolution of inter-REC NTBs.

Article 11
Procedure for Elimination and Co-operation in the Elimination of Non-Tariff Barriers

In the elimination of NTBs, State Parties shall apply the procedures set out in Appendix 2 of this Annex.

Article 12
Mechanism for Identifying, Reporting, Resolving, Monitoring and Elimination of Non-Tariff Barriers

1. The mechanism for identifying, reporting and monitoring NTBs will be put in place to facilitate the elimination of NTBs within the AfCFTA.

2. Any State Party or Economic Operator may register a complaint or trade concern through the mechanism provided for in Appendix 2 of this Annex.

3. State Parties are encouraged to resolve NTBs raised at intra-REC level using the resolution mechanisms in place in each REC.

4. The mechanism will address NTBs that have not been resolved at REC level, are inter-REC in nature, or are arising from State Parties that are not members of any REC.

5. The NTBs mechanism shall enhance transparency and provide for easy follow-up on progress in the resolution of reported and identified NTBs

6. The reporting and monitoring tools for NTBs shall consist of a prescribed format, forms, online or any other information, communication and technology tools which will be subject to periodic review and shall be available on websites as designated by the NTBs Sub Committee.

7. The mechanism shall be accessible to State Parties' Economic Operators, National Focal Points, REC Secretariats, academic researchers and other Interested Parties.

Article 13
Non-Tariff Barriers Elimination Matrices

Each State Party shall prepare a Time Bound Elimination Matrix, based on the agreed categorisation of NTBs and their level of impact on intra-Africa trade.

Article 14
Transparency and Exchange of Information

The NTB Coordination Unit shall circulate to the State Parties on a quarterly basis, a status report of notified requests and responses and of ongoing and recently resolved NTBs, together with reports from Facilitators.

Article 15
Technical Assistance

State Parties may request for technical assistance from the Secretariat or where necessary the Secretariats of the RECs to promote their understanding of the use and functioning of procedures set out in Appendix 2 of this Annex, and the resolution of an NTB.

Article 16
Dispute Settlement

Any dispute between the State Parties arising out of or relating to the interpretation or application of any provision of this Annex shall be settled in accordance with the Protocol on Rules and Procedures on the Settlement of Disputes.

Article 17
Review and Amendment

This Annex shall be subject to review and amendments in accordance with Articles 28 and 29 of the Agreement.

APPENDIX 1
General Categorization of Potential Sources of Non-Tariff Barriers

Parts and Sections	Description
Part I	**Government Participation in Trade and Restrictive Practices Tolerated by Governments** • Government aids, including subsidies and tax benefits • Restrictive practices tolerated by governments • Other
Part II	**Customs and Administrative Entry Procedures** • Customs valuation • Customs classification • Consular formalities and documentation • Samples • Rules of origin • Customs formalities • Import licensing • Pre-shipment inspection and other formalities related to pre-shipment inspection. • Other
Part III	**Technical Barriers to Trade** • Technical regulations, and standards including packaging, labelling and marking requirements • Conformity assessments • Certificate of Free Sale • Other
Part IV	**Sanitary and Phytosanitary Measures** • SPS measures including chemical residue limits, disease freedom, specified product treatment, etc. • Conformity assessments • Other

Part V	**Specific Limitations** • Embargoes and other restrictions of similar effect • Quantitative imports and export restrictions or prohibitions • Tariff quotas • Other
Part VI	**Charges on Imports** • Prior import deposits • Surcharges, port taxes, statistical taxes, etc. • Credit restrictions • Border tax adjustments • Other
Part VII	**Other** • Transport, Clearing and Forwarding

APPENDIX 2

Procedure for Elimination and Co-operation in the Elimination of Non-Tariff Barriers

In the elimination of NTBs, the AfCFTA State Parties shall resort to the following procedures:

1. State Parties shall, in line with Article 10 above, exhaust existing NTB elimination channels at REC level before escalating a complaint or trade concern to the AfCFTA level.

2. Where State Parties fail to reach agreement on the resolution of a complaint using REC based NTB mechanism, or the complaint has arisen from inter-REC trade, the State Parties shall proceed as follows:

2.1. Stage I: Request and Response on a Specific NTB

2.1.1 Any State Party (the 'requesting State Party') may, individually or jointly with other States Parties, initiate Stage I by submitting in writing or through an agreed online information and communication technology method or any other method, in accordance with Article 12.6; to another State Party (the 'responding State Party') and the Secretariat a request for information regarding a NTB as identified and reported by the requesting State Party;

2.1.2 The request shall identify and describe the specific NTB as identified and reported by the requesting State Party and provide a detailed description of its concerns regarding the NTB's impact on trade;

2.1.3 The responding State Party shall acknowledge and provide to the requesting State Party, within twenty (20) days following receipt of the request, a written response containing all the information and clarification requested. Where the responding State Party considers that a response within this period is not practicable, it shall inform the requesting State Party of the reasons for the delay, together with an estimate of the period within which it will provide its response. In all cases it shall not exceed thirty (30) days from the date of receiving the request for information unless the parties mutually agree to extend the days;

2.1.4 The responding State Party shall notify its response directly to the requesting State Party and the Secretariat for recording purposes;

2.1.5 The Secretariat shall undertake to ensure that the responding and the requesting State Parties adhere to the provisions indicated in 2.1.1 to 2.1.4 in Stage I above;

2.1.6 Where the response is acceptable to the requesting State Party, the requesting State Party shall notify the responding State Party and the Secretariat, and the

complaint shall be considered resolved. Where the parties mutually agree on a complaint as being an NTB, the National Monitoring Committee of the responding State Party shall develop an elimination plan as provided for under Article 13 of this Annex;

2.1.7 Where the response does not resolve the complaint, the requesting State Party shall notify the responding State Party and the Secretariat. The Secretariat shall convene a meeting with the parties within twenty (20) days from the date of receiving the notification to, inter alia, address the outstanding complaint;

2.1.8 In case the matter is not satisfactorily resolved in Stage I, both parties shall by mutual consent and through a written and signed agreement proceed to Stage II;

2.1.9 Any other State Party may submit a written request to the Secretariat to participate in these procedures as an interested party within ten (10) days from the date of circulation of the decision to proceed to Stage II;

2.1.10 Pending final resolution of the NTB, the parties may consider possible interim solutions, especially if the NTB relates to perishable goods;

2.1.11 In case of perishable goods, the issue shall be dealt with within ten (10) days;

2.1.12 Once initiated, Stage I shall be terminated upon request of either party; and

2.1.13 Stage I proceedings shall not exceed a total of sixty (60) days unless otherwise mutually agreed by the parties.

2.2 Stage II: Use of a Facilitator to Resolve Complaints

2.2.1 Appointment of a Facilitator

a) Upon initiation of Stage II of these procedures, the Secretariat shall coordinate the appointment of an independent expert/person acceptable to the parties to serve as Facilitator;

b) Facilitators shall be drawn from a pool of experts whose selection and appointment shall be in accordance with agreed criteria and procedures to be developed by the NTBs Sub-Committee;

c) The parties shall jointly agree on the terms of reference for Facilitator; and

d) Upon initiation of this Stage II, the parties shall agree upon the Facilitator within ten (10) days.

2.2.2 Seeking Mutually Agreed Solutions

a) Either party shall present to the Facilitator and the other party any information that it deems relevant.
b) The Facilitator, in consultation with the parties, shall have full flexibility in organizing and conducting the deliberations under these procedures which normally should take place at the Secretariat Headquarters, unless the parties agree on any other place of mutual convenience, taking into account possible capacity constraints;
c) In assisting the parties, in an impartial and transparent manner with a view to bringing clarity on the NTB concerned and its possible trade-related impact, the Facilitator may:

   i. with the support of the NTB Sub Committee, call upon the Secretariat or any other relevant resource to provide the Facilitator with any requested information;
   ii. meet individually or jointly with, the parties, in order to facilitate discussions on the NTB and to assist in reaching mutually agreed solutions;
   iii. seek assistance where necessary, of relevant experts and stakeholders, after consulting with the parties;
   iv. provide any additional support requested by the parties; and
   v. offer advice and propose possible solutions (technical opinion) for the parties provided any such opinion shall not pertain to any possible legitimate objectives for the maintenance of the measure.

d) The parties shall engage each other with a view to reaching a mutually agreed solution within forty-five (45) days from the commencement of the proceedings in Stage II.

2.2.3 Outcome and Implementation

a) Upon termination of Stage II of these procedures by a party, or in the event that the parties reach a mutually agreed solution, the Facilitator shall, within ten (10) days, issue to the parties in writing, a draft factual report providing a brief summary of the following:

   i) the NTB at issue in these procedures;
   ii) the procedures followed;
   iii) any mutually agreed solution as the final outcome of these procedures, including possible interim solutions; and
   iv) any areas of disagreement shall be recorded by the parties.

b) The Facilitator shall provide the parties ten (10) days within which to comment on the draft report. After considering the comments of the parties, the

Facilitator shall submit, in writing, a final factual report to both parties and the Secretariat within ten (10) days of receiving the comments.

c) If the parties reach a mutually agreed solution, such solution shall be implemented and also circulated to all State Parties through the Secretariat. Such solution shall be implemented in accordance with an elimination plan as provided for under Article 13 of this Annex;

d) Where a State Party fails to resolve an NTB after a factual report has been issued and a mutually agreed solution has been reached, the requesting State Party may resort to the dispute settlement stage;

e) Notwithstanding the provisions herein parties may agree to submit the matter to arbitration in accordance with the provisions of the Protocol on the Rules and Procedures on the Settlement of Disputes.

2.2.4 Confidentiality

a) All meetings and information whether provided in oral or written form acquired pursuant to Stages I and II of the procedures set out in this Appendix shall be confidential and without prejudice to the rights of any party or other State Party in any dispute settlement proceeding under the Dispute Settlement procedures. The obligation of confidentiality does not extend to factual information already existing in the public domain;

b) Nothing in this Appendix shall require State Parties to disclose confidential information, which would impede law enforcement or otherwise be contrary to the public interest or would prejudice the legitimate commercial interests of particular enterprises, public or private; and

c) Any third party admitted to the procedures shall be bound by the confidentiality requirements pursuant to these procedures.

ANNEX 6

TECHNICAL BARRIERS TO TRADE

Article 1
Definitions

1. Except where this Annex gives a specific meaning to a term, the general terms for standardisation, technical regulations, conformity assessment procedures and related activities shall have the meaning given to them by the definitions adopted within the WTO Agreement on Technical Barriers to Trade and by other international bodies dealing with Technical Barriers to Trade (TBT) issues.

2. For purposes of this Annex, the abbreviations set out below shall have the following meaning:
   (a) **"AFRAC"** means the African Accreditation Cooperation;
   (b) **"AFRIMETS"** means the Intra-Africa Metrology System;
   (c) **"AFSEC"** means the African Electro-technical Standardization Commission;
   (d) **"ARSO"** means the African Organization for Standardization;
   (e) **"BIPM"** means the International Bureau of Weights and Measures;
   (f) **"CGPM"** means the General Conference on Weights and Measures;
   (g) **"IAF"** means the International Accreditation Forum;
   (h) **"IEC"** means the International Electro-technical Commission;
   (i) **"ILAC"** means the International Laboratory Accreditation Cooperation;
   (j) **"ISO"** means the International Organization for Standardization;
   (k) **"OIML"** means the International Organization for Legal Metrology;
   (l) **"PAQI"** means the Pan-African Quality Infrastructure;
   (m) **"SI"** means the International System of Units; and
   (n) **"TBT Agreement"** means the World Trade Organization Agreement on Technical Barriers to Trade[8] .

Article 2
Purpose and Scope

1. The purpose of this Annex is to implement the provisions of the Protocol on Trade in Goods concerning Technical Barriers to Trade.

2. This Annex shall apply to standards, technical regulations, conformity assessment procedures, accreditation, and metrology in the State Parties.

3. References in this Annex to standards, technical regulations and conformity assessment procedures include amendments thereto, and additions to the rules or the product coverage thereof.

[8] It shall include the decisions and recommendations adopted by the WTO Committee on Technical Barriers to Trade since 1 January 1995

Article 3
Guiding Principles

1. State Parties agree that the WTO TBT Agreement shall form the basis of this Annex.

2. State Parties reaffirm their rights and obligations under the WTO TBT Agreement in respect of the preparation, adoption, and application of standards, technical regulations, conformity assessment procedures and related activities.

Article 4
Objectives

The objectives of this Annex are to:

(a) facilitate trade through cooperation in the areas of standards, technical regulation, conformity assessment, accreditation and metrology;

(b) facilitate trade by the elimination of unnecessary and unjustifiable technical barriers to trade through:

(i) reinforcing international best practices in regulation and standards setting;

(ii) promoting the use of relevant international standards as a basis for technical regulations; and

(iii) identifying and assessing instruments for trade facilitation such as harmonization of standards, equivalence of technical regulations, metrology, accreditation and conformity assessment.

(c) strengthen cooperation and identify priority areas;

(d) develop and implement capacity building programmes to support the implementation of this Annex;

(e) establish mechanisms and structures to enhance transparency in the development and implementation of standards, technical regulations, metrology, accreditation and conformity assessment procedures; and

(f) promote mutual recognition of results of conformity assessment.

Article 5
Fields of Cooperation

State Parties shall cooperate in the development and implementation of standards, technical regulations, conformity assessment procedures, accreditation, metrology, capacity building and enforcement activities in order to facilitate trade within the AfCFTA.

Article 6
Cooperation in Standardisation

1. State Parties shall promote cooperation between their respective standardisation bodies with a view to facilitate trade.

2. State Parties shall:

   (a) develop and promote the adoption and/or adaption of international standards;

   (b) promote the adoption of standards developed by the ARSO and the AFSEC;

   (c) where a relevant international standard required to facilitate trade does not exist, request the ARSO and/or the AFSEC to develop the required standard to facilitate trade between State Parties;

   (d) designate liaison focal points to ensure that all State Parties are well informed of the standards developed or to be developed by the ARSO and the AFSEC;

   (e) apply harmonized rules and procedures for the development and publication of national standards in accordance with international requirements and best practices; and

   (f) promote membership, liaison and participation in the work of ISO, IEC, ARSO, AFSEC and similar international and regional standardisation organisations.

Article 7
Cooperation in Technical Regulations

In the development and implementation of technical regulations, State Parties shall promote:

(a) compliance with the WTO TBT Agreement;

(b) the use of international standards and/or parts thereof as a basis for technical regulations; and

(c) the application of Good Regulatory Practices.

Article 8
Cooperation in Conformity Assessment

State Parties shall:

(a) promote compliance with the WTO TBT Agreement;

(b) make use of relevant international standards and conformity assessment procedures;

(c) facilitate the development of conformity assessment capacity and technical competence that can support trade;

(d) promote the use of accredited conformity assessment bodies as a tool to facilitate trade amongst the State Parties;

(e) promote mutual acceptance of conformity assessment results of conformity assessment bodies which have been recognised under appropriate multilateral agreements between their respective accreditation bodies and the relevant mutual recognition arrangements of the AFRAC, ILAC and IAF; and

(f) enhance confidence in the continued reliability of each other's conformity assessment results through, among others, peer reviews where appropriate.

Article 9
Cooperation in Accreditation

State Parties shall:

(a) promote utilisation of existing accreditation structures for cooperation in the AfCFTA;

(b) encourage and support African accreditation bodies operating in Africa to achieve international recognition;

(c) provide for and enable recognition and support of national, regional and multi-economy accreditation bodies operating within the State Parties that provide accreditation services to those State Parties that do not have national accreditation bodies;

(d) provide for a national accreditation focal point for accreditation services if a State Party does not have a national accreditation body;

(e) cooperate in the area of accreditation by participating in the work of the AFRAC;

(f) promote participation in the AFRAC mutual recognition arrangements;

(g) promote and facilitate the use of accredited conformity assessment bodies as a tool to facilitate trade within the AfCFTA; and

(h) coordinate inputs for liaison with the AFRAC, ILAC and the IAF.

Article 10
Cooperation in Metrology

1. State Parties shall:

   (a) adopt and implement the SI as the basis for a harmonised system for legal, industrial and scientific metrology activities;

   (b) cooperate in all areas of metrology by participating in the work of the AFRIMETS;

   (c) facilitate movement and proper handling of metrology artefacts, test samples, test equipment and reference materials sent for calibration, testing or inter-laboratory comparisons within and outside Africa; and

   (d) promote coordination of the use of existing metrology facilities with a view to making them accessible to one another.

2. In legal metrology, State Parties shall:

   (a) promote the establishment of national legal metrology systems and adoption of OIML recommendations;

   (b) formulate modalities for the mutual recognition of inspection and test certificates and approvals relating to legal metrology issued by national legal metrology departments or institutions;

   (c) endeavour to obtain full or corresponding membership to the OIML;

   (d) liaise with OIML and other regional organizations on matters concerning legal metrology; and

   (e) cooperate in the area of legal metrology by participating in the work of the AFRIMETS.

3. In scientific and industrial metrology, State Parties shall:

   (a) provide for national measurement standards that are traceable to the SI and with a level of measurement uncertainty that is commensurate with the needs of the State Parties;
   (b) contribute to the formulation of and participation in the African and RECs Metrology organisations programmes to maintain the continued competence of national measurement standards of State Parties; and

   (c) promote membership of the BIPM and associate membership of the CGPM.

Article 11
Transparency

In order to enhance transparency:

(a) State Parties reaffirm that transparency is essential in ensuring clarity, predictability and trust within the AfCFTA framework and shall comply with the transparency obligations of the WTO TBT Agreement including notification procedures and notification systems developed from time to time;

(b) State Parties shall submit notifications to the Secretariat;

(c) The Secretariat shall publish and timeously circulate notifications made by a State Party to all other State Parties. The Secretariat shall subscribe to the WTO electronic circulation of TBT notifications, or the SPS and TBT E-PING alert notification system, or make use of the WTO TBT information management system, and/or any other electronic notification system to receive or download WTO TBT notifications submitted to the WTO by State Parties;

(d) State Parties shall use the existing WTO TBT national notification authorities or, where they do not exist, designate central government authorities for fulfilling the notification obligations established under the relevant articles of the WTO TBT Agreement and the Agreement;

(e) National notification authorities shall be notified to the Secretariat;

(f) The Secretariat shall timeously circulate to the WTO TBT enquiry points of State Parties the notifications submitted to the WTO by the State Parties;

(g) Non WTO Member States shall inform the Secretariat of their draft technical regulations and conformity assessment procedures which shall be circulated to State Parties, to enable them to provide comments, if any, and submit them to the Secretariat before their adoption and entry into force; and

(h) State Parties which have not established TBT enquiry points shall appoint a Government authority to provide a TBT transparency function.

Article 12
Technical Assistance and Capacity Building

1. State Parties shall cooperate in seeking and providing technical assistance and capacity building to address standards, technical regulation, conformity assessment, accreditation, metrology and issues of mutual interest.

2. The Secretariat shall, in collaboration with States Parties develop mechanisms for cooperation in technical assistance and capacity building to address standards, technical regulations, conformity assessment, accreditation and metrology.

3. The Secretariat shall in collaboration with State Parties, implement a joint work programme to enhance capacities for the effective implementation of obligations under this Annex.

Article 13
Establishment and Functions of the Sub-Committee for Technical Barriers to Trade

1. The Committee on Trade in Goods shall, in accordance with Article 31 of the Protocol on Trade in Goods, establish a Sub-Committee on Technical Barriers to Trade.

2. The Sub-Committee shall be composed of duly designated representatives from State Parties and shall carry out the responsibilities assigned to it under this Annex or by the Committee on Trade in Goods.

3. The functions of the TBT Sub-Committee shall include to:

   (a) cooperate and consult on standards, technical regulations, metrology, accreditation and conformity assessment matters of interest to the State Parties;

   (b) develop procedures for the implementation of provisions of this Annex;

   (c) identify areas for collaboration in relevant infrastructure that supports standards, technical regulations, metrology, accreditation and conformity assessment;

   (d) promote cooperation between State Parties in the implementation of this Annex;

   (e) identify, develop and implement capacity building programmes to address agreed areas;

   (f) promote cooperation in the utilisation of existing human, scientific and technical resources, and the exchange of expertise in standards, technical regulations, metrology, accreditation and conformity assessment in areas of mutual interest;

   (g) coordinate, where appropriate, the adoption of common positions among State Parties to the WTO TBT Committee and other relevant international organisations;

   (h) expeditiously address any issue that a State Party raises related to the development, adoption or application of standards, technical regulations or conformity assessment procedures;

(i) report to the Committee on Trade in Goods on the implementation of this Annex, as appropriate;

(j) track amendments (if any) made to the WTO TBT Agreement, and, if necessary, develop proposals to amend this Annex in accordance with Article 29 of the Agreement in order for it to remain aligned to the WTO TBT Agreement;

(k) receive and share information on the activities of the PAQI institutions with all State Parties;

(l) collaborate with other Sub-Committees with a view to facilitating intra-Africa trade; and

(m) perform any other TBT related tasks as may be assigned by the Committee on Trade in Goods.

Article 14
Dispute Settlement

Any dispute between the State Parties arising out of or relating to the interpretation or application of any provision of this Annex shall be settled in accordance with the Protocol on Rules and Procedures on the Settlement of Disputes.

Article 15
Review and Amendment

This Annex shall be subject to review and amendments in accordance with Articles 28 and 29 of the Agreement.

ANNEX 7

SANITARY AND PHYTOSANITARY MEASURES

Article 1
Definitions

1. The definitions set out in the following instruments shall apply to this Annex:

   (a) the Agreement;
   (b) Annex A of the World Trade Organization (WTO) Agreement on the Application of Sanitary and Phytosanitary (SPS) Measures; and
   (c) international standards.

2. For purposes of this Annex, the abbreviations set out below shall have the following meaning:

   (a) **"CAC"** means Codex Alimentarius Commission;
   (b) **"IPPC"** means the International Plant Protection Convention; and
   (c) **"OIE"** means the World Organization for Animal Health.

Article 2
Purpose and Scope

1. The purpose of this Annex is to implement the provisions of the Protocol on Trade in Goods concerning Sanitary and Phytosanitary measures (hereinafter referred to as the "SPS" measures).

2. This Annex shall apply to SPS measures that directly or indirectly affect trade between the State Parties.

Article 3
Guiding Principle

In the preparation, adoption, and application of SPS measures, State Parties shall be guided by the provisions of the WTO Agreement on the Application of Sanitary and Phytosanitary Measures.

Article 4
Objectives

The objectives of this Annex are to:

(a) facilitate trade while safeguarding human, animal or plant life or health in the territory of State Parties;

(b) enhance cooperation and transparency in the development and implementation of SPS measures to ensure that they do not become unjustifiable barriers to trade; and

(c) enhance technical capacity of State Parties for the implementation and monitoring of SPS measures while encouraging the use of international standards in the elimination of barriers to trade.

Article 5
Assessment of Risk to Determine Appropriate Level of Sanitary or Phytosanitary Protection

1. State Parties shall, in responding to market access requests, ensure that their sanitary or phytosanitary measures are based on an assessment, as appropriate, of the circumstances of the risks to human, animal or plant life or health taking into account risk assessment techniques developed by the relevant international organisations.

2. State Parties shall, in assessing risk and determining the sanitary or phytosanitary measures to be applied to achieve the appropriate level of protection, take into account available scientific evidence, relevant processes and production methods, relevant inspection, sampling and testing methods, prevalence of specific diseases or pests, existence of disease or pest free areas, relevant ecological and environmental conditions and quarantine, or other treatments.

3. In assessing the risk to animal or plant life or health and determining the measure to be applied for achieving the appropriate level of sanitary or phytosanitary protection from such risks, the State Parties shall take into account as relevant economic factors; the potential damage in terms of loss of production or sales in the event of entry, establishment or spread of a pest or disease; the costs of control or eradication in the territory of the importing State Party; and the relative cost effectiveness of alternative approaches to limiting risks.

4. In cases where relevant scientific evidence is insufficient, a State Party may provisionally adopt sanitary or phytosanitary measures on the basis of available pertinent information including that from relevant international organisations as well as from sanitary or phytosanitary measures applied by other State Parties. In such circumstances, the State Parties shall seek to obtain the additional information necessary for a more objective assessment of risk and review the sanitary or phytosanitary measure accordingly, within reasonable time frames agreed by the concerned State Parties.

5. When a State Party has reason to believe that a specific sanitary or phytosanitary measure introduced or maintained by other State Parties is constraining, or has the potential to constrain its exports, and the measure is not based on the relevant international standards, guidelines or recommendations, or such standards, guidelines or recommendations do not exist, an explanation of the reasons for such sanitary or phytosanitary measure may be requested and shall be provided by the State Party maintaining the measure and if the aggrieved State Party is not satisfied, request for the review of the measure in accordance with the provisions of this Annex.

Article 6
Adaptation to Regional Conditions, Including Pest- or Disease-Free Areas and Areas of Low Pest or Disease Prevalence

With a view to boosting intra-Africa trade in animals, animal products, animal by-products, plants, plant products and plant by-products:

(a) State Parties undertake to recognise the concept, principles and guidelines of regionalisation and zoning as outlined in the Terrestrial and Aquatic Animal Health Codes of the OIE, and agree to apply this concept to prescribed diseases to be determined by consensus;

(b) State Parties shall, in implementing sub-paragraph a of this Article, base their respective sanitary measures applicable to the exporting State Party whose territory is affected by a disease on the zoning decision made by the exporting State Party, provided that the importing State Party is satisfied that the exporting State Party's zoning decision is in accordance with the principles and guidelines that the State Parties have agreed upon, and is based on relevant international standards, guidelines, and recommendations. The importing State Party may apply any additional measure supported by science based evidence to achieve its appropriate level of sanitary protection;

(c) State Parties may request recognition of a special status with respect to a disease not subject to zoning under sub-paragraph a of this Article. The importing State Party may request additional guarantees for imports of live animals, animal products, and animal by-products appropriate to the agreed status recognised by the importing State Party, including conditions deemed necessary by the importing State Party to achieve an appropriate level of sanitary protection;

(d) State Parties recognise the concept of compartmentalisation and agree to cooperate on this matter;

(e) State Parties shall endeavour to recognise regional conditions;

(f) when establishing or maintaining its phytosanitary measures, the importing State Party shall take into account, among other things, the pest status of an area, such as a pest-free area, pest-free place of production, pest-free production site, an area of low pest prevalence and a protected zone that the exporting State Party has established; and

(g) the exporting State Party claiming that areas within its territory are pest- or disease-free areas or areas of low pest or disease prevalence shall provide the necessary scientific evidence in order to demonstrate that such areas are, and are likely to remain pest- or disease-free areas or areas of low pest and or disease prevalence. For this purpose, each exporting State Party shall provide reasonable access to its territory to the importing State Party for inspection, testing and other relevant procedures.

Article 7
Equivalence

1. The importing State Party shall accept the sanitary or phytosanitary measures of the exporting State Party as equivalent to its own if the exporting State Party objectively demonstrates, through science based and technical information including *inter alia*, reference to relevant international standards, or relevant risk assessment, that the measure would achieve the importing State Party's appropriate level of sanitary or phytosanitary protection;

2. State Parties shall, upon request, enter into consultations with the aim of achieving bilateral and multilateral agreements on recognition of the equivalence of specified sanitary or phytosanitary measures.

3. State Parties shall follow the procedures for determining the equivalence of sanitary or phytosanitary measures developed by the WTO SPS Committee, the CAC, the OIE and the IPPC.

Article 8
Harmonisation

1. State Parties shall cooperate in the development and harmonisation of sanitary or phytosanitary measures based on international standards, guidelines and recommendations taking into account the harmonisation of sanitary or phytosanitary measures at the regional level.

2. State Parties may introduce or maintain sanitary or phytosanitary measures which result in a higher level of sanitary or phytosanitary protection than would be achieved by measures based on the relevant international standards, guidelines or recommendations, if there is a scientific justification, or as a consequence of the level of sanitary or phytosanitary protection a State Party determines to be appropriate, in accordance with the relevant provisions of Article 5 of this Annex.

3. State Parties shall fully participate in the relevant international organisations and their subsidiary bodies, in particular the CAC, the OIE and the IPPC to promote within these organisations the development and periodic review of standards, guidelines and recommendations with respect to all aspects of SPS measures.

4. If State Parties jointly identify a commodity as a priority, they shall establish harmonised sanitary or phytosanitary import requirements for that commodity.

Article 9
Audit and Verification

1. For purposes of maintaining confidence in the implementation of this Annex, an importing State Party may carry out an audit or verification, or both, of all or part of the control programme of the competent authority of the exporting State Party. An importing State Party shall bear its own costs associated with the audit or verification.

2. For purposes of paragraph 1 of this Article, the State Parties shall abide by principles and guidelines established by international standards bodies in conducting audits or verifications as agreed between the State Parties.

Article 10
Import or Export Inspections and Fees

1. State Parties reaffirm their rights and obligations to undertake import or export inspections while abiding by principles and guidelines established by international standard bodies in conducting inspections.

2. The importing or exporting State Party may collect fees for inspections, which shall not exceed the recovery of the costs reasonably incurred in the conduct of the inspection.

3. When import inspections reveal non-compliance with the relevant import requirements, the action taken by the importing State Party shall be based on relevant international standards or an assessment of the risk involved and not be more trade-restrictive than required to achieve the State Party's appropriate level of sanitary or phytosanitary protection.

4. The importing State Party shall notify the importer and the Competent Authority of the exporting State Party of a non-compliant consignment and the reason for non-compliance and action to be taken. The importing State Party may provide the exporter with an opportunity for a review of the decision. The importing State Party shall consider any relevant information submitted to assist in the review.

Article 11
Transparency

1. State Parties, recognising that transparency is essential in ensuring clarity, predictability and trust in order to foster intra Africa-trade shall:

(a) comply with transparency obligations in accordance with the procedures developed by the SPS Sub-Committee;

(b) designate a National Focal Point for fulfilling the notification obligations established under this Article; and

(c) notify the Secretariat of any draft, revised or adopted SPS measures for further distribution to State Parties.

2. State Parties shall endeavour to exchange information on other SPS issues including:

(a) any significant change to the structure or organisation of a State Party's Competent Authority;

(b) upon request, the results of a State Party's official controls and a report on the implementation of the controls carried out with respect to the provisions of this Annex;

(c) the results of an import inspection provided for in Article 10 of this Annex in case of a rejected or a non-compliant consignment;

(d) upon request, a risk analysis or scientific opinion that a State Party has produced in accordance with Article 5 of this Annex;

(e) pest or disease status, including the evolution of a new disease or new pest;

(f) any food safety issue related to a product traded between the State Parties, that poses a food safety risk; and

(g) import requirements such as quarantine restrictions.

Article 12
Technical Consultations

1. Where a State Party has a significant concern with respect to food safety, plant health or animal health, or any other SPS measure that another State Party has proposed or implemented, the concerned State Party may request technical consultations with the other State Party.

2. The State Party so requested shall respond to the request within thirty (30) days of receipt of the request.

3. Each State Party shall provide the information necessary to avoid a disruption to trade and, as the case may be, to reach a mutually acceptable solution.

4. Where State Parties fail to reach a mutually acceptable solution, the matter may be referred to the SPS Sub-committee for consideration.

Article 13
Emergency SPS Measures

1. State Parties shall notify emergency SPS measures within forty-eight (48) hours of the decision to implement the measure. Where a State Party requests technical consultations to address the emergency SPS measure, the technical consultations shall be held within ten (10) working days of the notification of the emergency SPS measure. The State Parties shall consider any information provided through the technical consultations.

2. The importing State Party shall consider the information, that was provided in a timely manner by the exporting State Party, when making a decision with respect to a consignment that at the time of adoption and implementation of the emergency SPS measure is in transit between the State Parties. State Parties shall base their decision

on the principles of risk assessment in accordance with the provisions of Article 5 of this Annex.

Article 14
Cooperation and Technical Assistance

1. State Parties agree to cooperate in the implementation of obligations arising out of this Annex including on technical assistance, in particular in the following areas:

   (a) exchange of information and sharing of expertise and experience among State Parties;

   (b) adopting harmonised common positions while participating in international SPS fora relevant to the AfCFTA;

   (c) development and harmonisation of SPS measures at regional and continental levels, on the basis of established scientific data or relevant international standards;

   (d) development of infrastructure such as testing laboratories;

   (e) capacity building for public and private sector stakeholders, including through information sharing and training; and

   (f) identification or establishment of SPS centres of excellence.

2. State Parties may collaborate with regional and international SPS bodies.

Article 15
Establishment and Functions of the Sub-Committee for Sanitary and Phytosanitary Measures

1. The Committee for Trade in Goods shall, in accordance with Article 31 of the Protocol on Trade in Goods, establish a Sub-Committee on Sanitary and Phytosanitary Measures.

2. The Sub-Committee shall be composed of duly designated representatives from State Parties and shall carry out the responsibilities assigned to it under this Annex or by the Committee on Trade in Goods.

3. The functions of the SPS Sub-Committee shall be to:

   (a) monitor and review the implementation of this Annex;

   (b) provide direction for the identification, prioritisation, management and resolution of SPS issues that may arise;

   (c) provide a regular forum to exchange information relating to each State Party's regulatory system, including the scientific and risk assessment basis for SPS measures;

(d) prepare and maintain a document detailing the state of discussions between State Parties on their work on the recognition of equivalence of specific SPS measures;

(e) develop procedures for the implementation of provisions of this Annex;

(f) identify, establish, and monitor the implementation of a capacity building programme to support implementation of the provisions of this Annex, in conjunction with the Secretariat;

(g) identify opportunities for greater bilateral engagement, and enhanced relationships, which may include an exchange of officials between State Parties;

(h) consider SPS issues referred to it by State Parties, as expeditiously as possible;

(i) facilitate improved understanding between the State Parties on the implementation of the SPS provisions of this Annex, and promote cooperation between the State Parties on SPS issues under discussion in multilateral fora, including the WTO SPS Committee, the CAC, the OIE and the IPPC, as appropriate;

(j) identify and discuss, at an early stage, initiatives that have an SPS component, and that would benefit from cooperation;

(k) collaborate with other Sub-Committees with a view to facilitating intra-Africa trade; and

(l) undertake any other tasks as may be assigned by the Committee on Trade in Goods.

4. For purposes of paragraph 2 of this Article, State Parties shall regularly provide relevant information as may be required.

5. A State Party may refer any SPS issue to the SPS Sub-Committee:

(a) where the SPS Sub-Committee is unable to resolve an issue, the matter shall be referred to the Committee on Trade in Goods for consideration.

(b) where a State Party is not satisfied with the decision of the Sub-Committee, the State Party shall refer the matter to the Committee on Trade in Goods.

Article 16
Dispute Settlement

Any dispute between the State Parties arising out of or relating to the interpretation or application of any provision of this Annex shall be settled in accordance with the Protocol on Rules and Procedures on the Settlement of Disputes.

Article 17

Review and Amendment

This Annex shall be subject to review and amendments in accordance with Articles 28 and 29 of the Agreement.

ANNEX 8

TRANSIT

Article 1

Definitions

For purposes of this Annex, the following definitions shall apply:

(a) **"AfCFTA Transit Document**" means a Customs Document for transit declaration approved by the Council of Ministers and to be utilized within the AfCFTA;

(b) "**Carrier**" means the person actually transporting transit goods or in charge of or responsible for the operation of the respective means of transport;

(c) "**Container**" means an article of transport equipment (lift-van, moveable tank or other similar structure):

(i) fully or partially enclosed to constitute a compartment intended for containing goods;

(ii) of a permanent character and accordingly strong enough to be suitable for repeated use;

(iii) specifically designed to facilitate the carriage of goods, by one or more modes of transport, without intermediate reloading;

(iv) designed for ready handling, particularly when being transferred from one mode of transport to another;

(v) designed as to be easy to fill and empty; and

(vi) having an internal volume of one cubic metre or more;

and shall include the accessories and equipment of the container, appropriate for the type concerned, provided that such accessories and equipment are carried with the container. It shall not include vehicles, accessories or spare parts of vehicles, or packaging or pallets.

"Demountable bodies" shall be regarded as containers.

(d) **"Customs**'' means the Government service responsible for the administration of the Customs Law and the collection of duties and taxes and which also has the

responsibility for the application of other laws and regulations relating to the importation, exportation, movement or storage of goods;

(e) **"Customs office of departure**" means any customs office of a State Party where a transit operation commences;

(f) "**Customs office of destination**" means any Customs office of a State Party where a Customs transit operation is terminated;

(g) "**Customs office en-route**" means any Customs office where goods are imported or exported in the course of a Customs transit operation;

(h) "**Customs office of entry**" means an office of a second or other subsequent State Party where, in relation to that State, the provisions of this Annex begin to apply and includes any Customs office which, even when not situated on the frontier, is the first point of Customs control after crossing the border;

(i) **"Customs transit"** means the Customs procedure under which goods are transported under Customs control from one Customs office to another as defined in Annex A of Istanbul Convention and Specifically Annex E to the Revised Kyoto Convention;

(j) "**Customs office of exit**" means any Customs office which, even when not situated on the frontier, is the last point of Customs control before crossing the border;

(k) "**Goods**" includes all kinds of articles, wares, merchandise, animals, plants and currency, whether prohibited or not, whether meant for sale or not, and where any such goods are sold, the proceeds of such sale;

(l) **"Means of Transport"** include any vessel (including lighters and barges, whether or not ship borne, and hydrofoils), hovercraft, aircraft, motor road vehicles including cycles with engines, trailers, semi-trailers and combination of vehicles) and railway rolling stock; together with their normal spare parts, accessories and equipment carried on board means of transport (including special equipment for the loading, unloading, handling and protection of cargo and where the local situation so requires, porters and pack animals;

(m)**"Security"** means that which ensures to the satisfaction of the Customs Authority that an obligation to the Customs will be fulfilled. Security is defined as "general when it

ensures that the obligations arising from several operations will be fulfilled as defined in General Annex Chapter 2 to the Revised Kyoto Convention;

(n) "**Surety**" means an undertaking made by any person to the Customs Authorities of a a State Party to answer for, or be collaterally responsible for the debt, obligation, default or miscarriage of the transit or and for the payment to transit State Parties of import duties and any other sums of money due and payable to them in the event of non-compliance with the terms and conditions of transit relating to transit traffic introduced into the transit State Party by carriers of such goods;

(o) **"Transit traffic**" means the passage of goods including unaccompanied baggage, mail, persons and their means of transport through the territories of the State Parties in accordance with the itineraries set out in Article 2(1) of this Annex;

(p) "**Transitor**" means the legal entity responsible for the conveyance of goods through the Customs operations;

(q) "**Vessel**" means any mechanically propelled ship, boat or craft with inboard engine power or any other craft moving through water carrying passengers or cargo.

Article 2
General Provisions

1. State Parties undertake to grant all transit traffic freedom to traverse their respective territories by any means of transport suitable for that purpose when coming from:

   (a) a State Party or bound to one; or

   (b) Third Parties and bound to other State Parties ; or

   (c) other State Parties and bound to third countries; or

   (d) Third Parties and bound to third Parties.

2. State Parties undertake not to levy any import or export duties on the transit traffic referred to in paragraph 1 of this Article.

3. Notwithstanding paragraph 2 of this Article, and in accordance with paragraph 1 of Article 8 of this Annex, a State Party may levy administrative or service charges equivalent to services rendered.

4. For purposes of this Annex, State Parties undertake to ensure that there shall be no discrimination in the treatment of persons, goods and means of transport coming

from, or bound to State Parties, and that rates and tariffs for the use of their facilities by other State Parties shall not be less favourable than those accorded to their own traffic.

5. Notwithstanding the provisions of paragraph 1 of this Article, a State Party may apply measures in accordance with Articles 26 and 27 of the Protocol on Trade in Goods.

Article 3
Scope of Application

1. This Annex shall apply to any transitor, mail, means of transport, or any shipment of bonded Goods in transit between two points either in two different State Parties or between a State Party and a Third Party.

2. The provisions of this Annex shall only apply to Transit Traffic if it is:

   (a) operated by a carrier licensed under the provisions of Article 5 of this Annex;

   (b) performed under the conditions set out in Article 4 of this Annex by means of transport approved by the Customs office of departure and issued with certificates which shall be in the form set out in Appendix III of this Annex;

   (c) guaranteed by a surety in accordance with the provisions of Article 6 of this Annex; and

   (d) undertaken under the cover of AfCFTA.

3. The provisions of this Annex shall apply only to transit goods being carried by road.

Article 4
Approval of Means of Transport

1. The Means of Transport used in Transit trade shall be licensed by the appropriate licensing authorities of the State Parties in accordance with their national laws and regulations.

2. For purpose of paragraph 2(b) of Article 3 of this Annex Means of Transport, together with their cargo, shall be presented at the Customs offices of departure for examination to ensure that they comply with the technical conditions stipulated in Appendix II of this Annex before each transit traffic operation is undertaken.

Article 5
Licensing of Transitors and Carriers

1. Any person intending to be engaged in the operation of Transit Traffic under the provisions of this Annex shall be licensed for that purpose by the competent authorities of the State Party in whose territory the person is normally resident, or established and the competent authority shall inform all the other State Parties of all the persons so licensed.

2. The conditions for the issuance of the licences referred to in paragraph 1 of this Article to persons resident, or established in a State Party shall be that:
   (a) the requirements of Article 4 of this Annex have been satisfied, in accordance with national laws; and

   (b) the applicant has not, during the previous three (3) years been convicted of a serious offence including accepting, receiving or offering bribes, smuggling, theft, destroying documents of evidence, and failing or refusing to give information relating to interstate transportation of goods.

3. The conditions for issuance of licences referred to in paragraph 1 of this Article to applicants who are not resident or established in a State Party shall be determined by each State Party in consultation with other State Parties provided that such conditions shall not be more favourable than conditions accorded to persons resident or established in that State Party.

4. Licensed carriers and Transitors, who are convicted of customs offences referred to in paragraph 2(b) of this Article, or who conceal their record of having been convicted of such offences in order to obtain a licence, or who commit such offences after they have been licensed to operate Transit Traffic, shall have their licences suspended automatically or withdrawn by the issuing authorities who shall thereupon notify the Customs Authorities of the other State Parties and the respective sureties of the action taken.

Article 6
Bonds and Sureties

All Transit Traffic operations carried under the cover of AfCFTA Transit Document shall be covered by customs bond and sureties arrangements.

Article 7
AfCFTA Transit Document

1. Subject to conditions and regulations as approved by the Council of Ministers, each State Party undertakes to authorise a Transitor, or their authorised agent, to prepare

in respect of each consignment of transit goods an AfCFTA Transit Document in accordance with the notes set out in Appendix I of this Annex.

2. The AfCFTA Transit Documents shall conform to the standard form approved by the Council of Ministers. The AfCFTA Transit Documents shall be valid for only transit operation and shall contain a sufficient number of copies for customs control and discharge required for the transport operation concerned.

3. All means of transport covered by the provisions of this Annex shall be accompanied by relevant AfCFTA Transit Documents and such documents shall, on demand, be presented by the carriers, together with the respective means of transport and certificates to the customs offices en-route and the customs offices of destination for their appropriate actions.

Article 8
Exemption from Customs Examinations and Charges

1. Subject to the provisions of Articles 4 and 5 of this Annex being satisfied, goods carried in approved sealed means of transport, sealed packages, or accepted by Customs Office of Departure as goods not susceptible to tampering substitution or manipulation, and permitted to be carried unsealed shall not be subject to:

   (a) customs duties and all transit duties or other charges imposed in respect of transit, except charges for transportation or those commensurate with administrative expenses entailed by Transit or with the cost of services rendered.

   (b) customs examination at such offices, as a general rule.

2. Notwithstanding paragraph 1 of this Article, the Customs Authorities may, where they suspect an irregularity, carry out at such offices, a partial or full examination of the goods.

Article 9
Transit Procedures

1. All Transit goods and Means of Transport shall be presented to the Customs Office of Departure together with duly completed AfCFTA Transit Documents supported by appropriate bonds and sureties as necessary for examination and affixing of customs seals.

2. The Customs Office of Departure shall decide whether the Means of Transport to be used provides enough safeguards to ensure customs security and whether the shipment may be made under the cover of a relevant AfCFTA Transit Document.

3. Where it is not possible for Goods to be transported in sealed Means of Transport or compartments, the Customs Authorities at the Customs Office of Departure may authorise the transportation in such unsealed Means of Transport or compartments

and under such conditions as they may deem necessary and endorse the relevant AfCFTA Transit Document accordingly.

4. The Means of Transport used in the transportation of Goods under the provisions of this Annex shall not at the same time be used for the transportation of passengers, unless such goods are carried in a part of the Means of Transport which is adequately sealed off to the satisfaction of the Customs Office of Departure.

5. Nothing may be added, or taken from, or substituted for goods consigned under cover of an AfCFTA Transit Document during off-loading, trans-shipment or collecting.

6. The Means of Transport together with the respective AfCFTA Transit Document shall be presented to the Customs Authorities at Customs offices En-route and at Customs Offices of Destination for such administrative action as may be required under the provisions of this Annex.

7. Except where irregularities are suspected, the Customs Offices En-route within a State Party shall respect the seals affixed by the Customs Authorities of other State Parties. Such Customs Authorities may, however, affix additional seals of their own.

8. In order to prevent abuse, the Customs Authorities shall publish in legislation the specific consignments that require:

   (a) the Means of Transport to be escorted through the territory of their country, at the Transitor's expense; or

   (b) that examination of the Means of Transport and their loads be carried out en-route in the territory of their country.

9. Any unsealed shipment covered by an appropriate AfCFTA Transit Document shall have only one Customs Office of Destination.

10. If the Goods in a Means of Transport are examined at a Customs Office en-route or anywhere in the course of transportation, the Customs Authorities concerned shall affix new seals and make a certified declaration in conformity with Appendix IV of this Annex including updating of any electronic management system of the particulars of irregularities, if any, and of the new seals affixed by them.

11. In the event of an accident or imminent danger necessitating the immediate unloading in whole or part of a Means of Transport, the Carrier:

   (a) may on their own initiative take such steps as may be necessary to ensure the safety of the Goods being transported, or the Means of Transport in which they are being transported;

(b) shall, as soon as possible thereafter, inform the Customs Office of Departure thereof; and

(c) shall arrange, where appropriate, for the goods to be transferred to other Means of Transport in the presence of Customs Authorities concerned or any other duly designated authority in accordance with national law which shall endorse the AfCFTA Transit Document with the particulars of the Goods transferred to the other Means of Transport and where possible, apply its customs seal.

12. On arrival at the Customs Office of Destination, the AfCFTA Transit Document shall be discharged without delay. If, however, the goods cannot be immediately entered under that Customs regime, the Customs Authorities may reserve the right to discharge the document conditionally upon a new liability being substituted for that of the Surety guaranteeing the said document.

13. If the seals affixed by Customs Authorities are broken en-route otherwise than in the circumstance set out in paragraph 10 of this Article or if Goods are destroyed or damaged without breaking such seals, the procedure laid down in paragraph 11 of this Article shall, without prejudice to the application of the provisions of national laws, be followed and a certified report drawn up in the form set out in **Appendix IV** of this Annex.

14. When a Customs Authority is satisfied that the Goods covered by an AfCFTA Transit Document have been destroyed by *force majeure,* an exemption from payment of the duties shall be granted.

Article 10
Obligations of State Parties and Liabilities of Sureties

Subject to the provisions of Article 6 of this Annex, the obligations of State Parties and liabilities of Sureties are as follows:

(a) each State Party undertakes to facilitate the transfer to the other State Party of the funds necessary for payment of premiums or other charges claimed from Sureties under the provisions of this Annex, or for payments of any penalties which the Transitor may incur in the event of an offence being committed in the course of Transit transport operations;

(b) State Parties agree to ensure that the liabilities undertaken by sureties cover import and export duties incurred by the holder of an AfCFTA Transit Document and other persons involved in the transit transport operation under the Customs Law and regulations of the State Party in which an offence has been committed;

(c) for the purpose of determining the duties referred to in paragraph (b) of this Article, the particulars of the goods as entered in the AfCFTA Transit Document shall, unless the contrary is proved, be regarded as correct;

(d) where feasible, use the services available in other State Parties in all transit traffic operations provided such services are competitive and efficient than those offered by other State Parties;

(e) where an AfCFTA Document has not been discharged, or has been discharged conditionally, the competent authority of a State Party shall not claim from the Surety the payment referred to in paragraph (b) of this Article unless such authority has, within a period of one (1) year from the date on which the AfCFTA Transit Document was taken on charge, notified the surety of the non-discharge or conditional discharge of the document;

(f) In situations where the certificate of discharge was obtained erroneously or fraudulently, paragraph (e) of this Article shall not prevent the authorities of a State Party from taking the necessary action against the person or persons concerned at any time thereafter in accordance with their national laws;

(g) the Surety and the persons charged with an offence shall be jointly and severally liable for payment of such sums. The fact that Customs Authorities might have authorised the examination of Goods elsewhere than at a place where the business of the Customs Office of Departure or Destination is usually conducted, shall not affect the liability of the Surety;

(h) the liability of the Surety to the authorities of any State Party shall commence from the time when the AfCFTA Transit Documents are accepted by the Customs Authorities of that State Party, and shall cover only the Goods enumerated in the document;

(i) when Customs Authorities of a State Party have unconditionally discharged a AfCFTA Transit Document, they may not subsequently claim from the Surety payment in respect of the duties referred to in paragraph (b) of this Article unless the certificate of discharge was issued erroneously or fraudulently;

(j) the Transitor and Surety shall be released from their undertaking to the Customs Authorities of each State Party entered when Goods carried have been duly exported or have otherwise been accounted for satisfactorily to the Customs Authorities of the State Party concerned;

(j) the claim for payment referred to in paragraph (b) of this Article shall be made within three (3) years from the date when the Surety was notified that the relevant AfCFTA Transit Document had not been discharged or had been discharged conditionally, or that the certificate of discharge had been obtained

erroneously or fraudulently. However, the period of three (3) years referred to in this Article includes a period of legal proceedings. Any claim for payment under the provisions of this Article shall be made within one (1) year from the date when the decision of the court becomes enforceable.

Article 11
Other Provisions

1. State Parties shall endeavour to establish, or facilitate the establishment of Transit or customs areas for the temporary storage of transit Goods where the direct trans-shipment of Goods from one Means of Transport to another is not possible.

2. The management and operation of such Transit or customs areas shall be in accordance with the customs rules and regulations of the State Party concerned.

3. State Parties undertake to permit and facilitate the establishment of cargo clearing and forwarding offices in their territories by persons, organisations or associations of other State Parties or their authorised agents, for the purpose of facilitating Transit Traffic in accordance with the national laws and regulations.

4. Each Means of Transport engaged in international Transit Traffic operations under cover of a AfCFTA Transit Document shall have affixed to its front and rear, a plate bearing the letters "AfCFTA TRANSIT", the specifications of which are set out in Appendix V of this Annex. These plates shall be so placed as to be clearly visible, removable and capable of being sealed. The seals to such plates shall be affixed by the Customs Offices of Departure and shall be removed by the authorities of the Customs Offices of Destination.

5. State Parties shall, through the Secretariat, notify each other of the specimen of seals, stamps and date stamps they use.

6. Each State Party shall, through the Secretariat, send to the other State Parties, a list of its customs offices and stations and normal working hours of such offices.

7. Neighbouring State Parties shall consult each other in determining the frontier customs offices to be included in the list referred to in paragraph 6 of this Article, and where possible such offices shall be juxtaposed.

8. In all customs operations referred to in this Annex, no charges shall be levied for customs attendance, save where it is provided on days or at times or places other than those appointed for such operations.

9. Whenever possible, customs frontier offices shall remain open for business for twenty-four (24) hours a day or shall allow execution of customs formalities relating to the transportation of Goods under the provisions of this Annex outside the normal working hours.

10. Any breach of the provisions of this Annex by a Carrier shall render the Carrier liable to penalties prescribed by law in the State Party where the offence is committed.

11. Nothing contained in this Annex shall prevent State Parties from enacting legislation in respect of transport operations commencing or terminating in or passing through their territories, provided that the provisions of such legislation:

    (a) shall not conflict with the provisions of this Annex; and

    (b) do not confer benefits on Third Parties that are more favourable than those enjoyed by the State Parties.

12. All the AfCFTA Transit Documents may have a note explaining how that particular document should be used.

Article 12

Sub-Committee on Trade Facilitation, Customs Cooperation and Transit

1. The Committee on Trade in Goods shall, in accordance with Article 31 of the Protocol on Trade in Goods, establish a Sub-Committee on Trade Facilitation, Customs Cooperation and Transit.

2. The Sub-Committee shall be composed of duly designated representatives from State Parties and shall carry out the responsibilities assigned to it under this Annex or by the Committee on Trade in Goods.

Articles 13

Implementation

1. State Parties shall expedite the implementation of this Annex.

2. The extent and the timing of implementation of the provisions of this Annex shall be related to the implementation capacities of State Parties as notified to the AfCFTA Sub-Committee on Trade Facilitation or under the WTO Agreement on Trade Facilitation.

Article 14
Regulations

The Council of Ministers shall adopt regulations to facilitate the implementation of this Annex.

Article 15

Conflict of Provisions

In the event of a conflict between this Annex and the Agreement, the latter shall prevail.

Article 16

Dispute Settlement

Any dispute between the State Parties arising out of or relating to the interpretation or application of any provision of this Annex, shall be settled in accordance with the Protocol on Rules and Procedures on the Settlement of Disputes.

Article 17
Review and Amendment

1. This Annex shall be subject to review and amendments in accordance with Articles 28 and 29 of the Agreement.

Appendix I

Notes for the Use of the African Continental Free Trade Area Transit Document

1. The AfCFTA Transit Document herein after referred to as " AfCFTA TD" shall be prepared in the country of commencement where the goods are first declared to be in transit.

2. The AfCFTA TD shall be printed in the Arabic, English, French and Portuguese languages, but completed in the language of the country of commencement. The Customs Authorities of the other countries traversed reserve the right to require their translation into their own language.

   In order to avoid unnecessary delays which might arise from this requirement, carriers are advised to supply the operator of the means of transport with the requisite translations.

3. The AfCFTA TD remains valid until completion of the transit operation at a customs office of destination, provided that it has been taken under customs control at the customs office of commencement within the time limit given by issuing authorities and meets the following requirements:

   a) The AfCFTA TD must be typed or multi-graphed or printed legibly;
   b) When there is not enough space on the manifest to enter all the goods carried, separate sheets to the same model as the manifest may be attached to the latter but all copies of the manifests must contain the following particulars:
      (i) a reference to the sheets;
      (ii) the number, type of packages and goods in bulk be enumerated on the separate sheets; and
      (iii) the total value and total gross weight of the goods appearing on the said sheets.

4. Weights, volume and other measurements shall be expressed in units of the metric system and values in the currency of the country of commencement, or in the currency determined by the Council of Ministers.

5. No erasures or over-writing shall be allowed on the AfCFTA TD. Any correction shall be made by deleting the incorrect particulars and adding, if necessary, the required particulars.

6. Any correction, addition or other amendment shall be acknowledged by the person making it and countersigned by the Customs Authorities.

7. When the AfCFTA TD covers coupled means of transport, or several containers, the contents of each means of transport shall be indicated separately on the manifest.

This information shall be preceded by the registration of identification number of the means of transport or container.

8. If there is more than one customs office of destination, the entries concerning the goods taken under customs control at, or intended for, each office shall be clearly separated from each other on the manifest.

9. In the event of customs seals being broken or goods being destroyed or damaged accidentally en-route, the operator of the means of transport shall ensure that a certified report is drawn up as quickly as possible by the authorities of the country in which the vehicle is located.

10. The operator shall approach the Customs Authorities, if there are any near at hand, or if not, any other competent authorities. Operators shall accordingly provide themselves with copies of the certified report form laid down in **Appendix** IV of this Annex on Transit Facilities within the AfCFTA.

Appendix II

Regulations Relating to Technical Conditions Applicable to means of transport of Goods within the African Continental Free Trade Area Under Customs Seal

1. Approval for the intra- African Continental Free Trade Area transport of goods by means of transport under Customs seal may be granted only for means of transport constructed and equipped in such a manner that:

   (a) customs seals can be simply and effectively affixed thereto;

   (b) no goods can be removed from, or introduced into the sealed part of the means of transport without obvious damage to it or without breaking the seals; and

   (c) they contain no concealed spaces where goods may be hidden.

2. The means of transportation shall be so constructed that spaces in the form of compartments, receptacles or other recesses which are capable of holding goods are readily accessible for customs inspection.

3. Should any empty spaces be formed by the different layers of the sides, floor and roof of the means of transport, the inside surface shall be firmly fixed, solid unbroken and incapable of being dismantled without leaving obvious traces.

4. Openings made in the floor for technical purpose, such as lubrication, maintenance and filing of the sand-box, shall be allowed only on condition that they are fitted with a cover capable of being fixed in such a way as to render the loading compartment inaccessible from the outside.

5. Doors and all other closing systems of means of transport shall be fitted with a device which shall permit simple and effective customs sealing. This device shall either be secured by at least two bolts, riveted or welded to the nuts on the inside.

6. Hinges shall be so made and fitted that doors and other closing systems cannot be lifted off the hinge-pins, once shut; the screws, bolts, hinge-pins and other fasteners shall be welded to the outer parts of the hinges. These requirements shall be waived, however, where the doors and other closing systems have a locking device inaccessible from the outside which, once it is applied, prevents the doors from being lifted off the hinge-pins.

7. Doors shall be so constructed as to cover all interstices and ensure complete and effective closure.

8. The means of transport shall be provided with a satisfactory device for protecting the Customs seal, or shall be so constructed that the customs seal is adequately protected.

9. The foregoing conditions shall also apply to insulated vehicles, refrigerator vehicles, tank vehicles and furniture vehicles in so far as they are not incompatible in accordance with their use.

10. The flanges (filler caps), drain cocks and manholes of tank wagons shall be so conducted as to allow simple and effective customs sealing.

11. Folding, or collapsible containers are subject to the same conditions as non-folding or non-collapsible containers, provided that the locking device enabling them to be folded or collapsed allows customs sealing and that no part of such container can be moved without breaking the seals.

Appendix III

Certificate of Approval of Means of transport

1. Certificate No…… Country of Commencement……..……..

   Date of Expiry……

2. Attesting that the means of transport specified below fulfils the conditions required for admission to intra- African Continental Free Trade Area transport of goods under Customs seals.

3. Name and address of holder (Owner of Carrier)

4. Make …….

5. Type……

6. Engine No. …….. Chassis No…….

7. Registration No. ……

8. Other particulars ……

9. Issued at ……. (Place and Country) on ……

   (Date)

10. Signature and stamp of issuing office at …….

NOTE. This licence shall be framed and exhibited in the cab of the means of transport if not in use, or on a change of owner or carrier, or on expiry of the period of validity of the certificate, or if there is any material change in any essential particulars of the means of transport.

Appendix IV

Certified Declaration Form for Examination of Contents of Means of Transport

1. AfCFTA Transit Document No …… Issued at……..
2. No. of the Certificate of Approval of means of transport. ……..……..

3. Information concerning the means of transport examined:

   - Means of transport …….

   - Registration No ……..

4. Reasons for making the examination (check where appropriate)

	Seals broken or missing
	Evidence of break-in
	Vehicle involved in an accident
	Other

5. Results of examination (Check where appropriate)

	All packages were intact and none of their contents were missing

The following Goods/packages were missing / damaged

Serial No.	Consignment and identification	Number and kind of packages	Description of goods	Remarks

4. Comments…….

5. Name of Officer…….Signature……..…Stamp……

Appendix V

AfCFTA Transit Plates

1. The words " AfCFTA TRANSIT" shall be 70 millimetres high.

2. Roman letters shall be used.

3. The letters shall be white on a blue background.

4. The letters shall be arranged as follows:

AfCFTA TRANSIT

ANNEX 9
TRADE REMEDIES

Article 1
Definitions

For purposes of this Annex, the following definitions shall apply:

(a) "**AfCFTA Guidelines**" means the Guidelines on Implementation of Trade Remedies;

(b) **"Domestic Industry"** means the producers of the like product, (or directly competitive products in safeguards) in the importing State Party whose collective output represents a major portion of the total domestic production of that product;

(c) **"Dumping"** is when a product is introduced into the commerce of another State Party at less than normal value; if the export price of the product exported from one State Party to another is less than the comparable price in the ordinary course of trade for the like product when destined for consumption in the exporting State Party**;**

(d) **"Injury"** means material injury or threat of material injury to a domestic industry or material retardation of the establishment of an industry;

(e) "Serious Injury" in relation to safeguards means significant overall impairment in the position of a domestic industry;

(f) "**Interested Parties**" shall include:

(i) an exporter or foreign producer or the importer of a product subject to investigation or a trade or business association a majority of the members of which are producers, exporters or importers of such product;

(ii) a producer of the like product in the importing State Party or a trade and business association a majority of the State Parties of which produce the like product in the territory of the importing State Party;

(iii) the government of the third country of origin and of the exporting State Party of the product under investigation; and

(iv) any other domestic or foreign party determined by the investigating authority;

(g) **"Investigating Authority"** means the authority charged with the responsibility of conducting trade remedies investigations in a State Party;

(h) **"Properly Documented Application"** means a written complaint made by or on behalf of the domestic industry in the required format;

(i) **"Safeguards"** means a measure adopted by a State Party where a product is being imported into its territory in such increased quantities, absolute or relative to its domestic production, and under such conditions as to cause or threaten to cause serious injury to its domestic industry that produces like or directly competitive products; and

(j) **"Threat of Serious Injury"** shall be understood to be serious injury that is clearly imminent. A determination of the existence of a threat of serious injury shall be based on facts not merely on allegation, conjecture or remote possibility.

Article 2
Application of Anti-dumping, Countervailing and Safeguard Measures

State Parties may, with respect to goods traded under the provisions of this Annex, apply anti-dumping, countervailing and safeguard measures as provided for in Articles –17 - 19 of the Protocol on Trade in Goods, this Annex and the AfCFTA Guidelines in accordance with relevant WTO Agreements.

Article 3
Application of Global Safeguard Measures

State Parties confirm their rights and obligations under Article XIX of the GATT 1994 and the WTO Agreement on Safeguards.

Article 4
Application of Preferential Safeguard Measures

1. Where, as a result of implementing the Agreement, any product originating in a State Party is being imported into the territory of another State Party in such increased quantities, absolute or relative to domestic production, and under such conditions so as to cause or threaten to cause Serious Injury to the Domestic Industry of like or directly competitive products, such a State Party may apply preferential safeguard measures under the conditions and in accordance with the procedures laid down in this Annex and the AfCFTA Guidelines.

2. A State Party intending to apply definitive preferential safeguard measures shall, before applying such measures, supply the other State Parties concerned with all relevant information, with a view to seek a solution acceptable to all State Parties concerned.

3. The State Party shall examine the information provided in paragraph 2 of this Article in order to facilitate a mutually acceptable resolution of the matter.

4. Where no resolution is reached, the importing State Party may apply preferential safeguard measures as provided for by this Article.

5. The preferential safeguards measures referred to in paragraph 4 of this Article shall immediately be notified to the Secretariat which shall notify all other State Parties.

6. The preferential safeguard measure shall be applied only to the extent necessary to prevent or remedy Serious Injury or threat thereof and to facilitate adjustment following an investigation by the importing State Party under the procedures established in this Annex and the AfCFTA Guidelines.

7. Preferential safeguard measures shall not exceed a period of four (4) years and shall contain clear indications of their progressive elimination at the end of the determined period. The preferential safeguard measure may be extended for another period not exceeding four (4) years, subject to justification by the Investigating Authority.

8. A State Party shall not apply a global safeguard measure simultaneously with the preferential safeguard measure on the same product within the AfCFTA.

Article 5
Provisional Safeguard Measures

1. In critical circumstances where delay would cause damage which would be difficult to repair, the State Party concerned may take a provisional preferential safeguard measure pursuant to a preliminary determination that there is clear evidence that increased imports have caused, or are threatening to cause Serious Injury.

2. The State Party intending to apply such a provisional safeguard measure shall, prior to such application, immediately notify the Secretariat and State Parties concerned.

3. The duration of the provisional safeguard measure shall not exceed two hundred (200) days, during which period the pertinent requirements of this Annex and the AfCFTA Guidelines shall be met. The duration of such provisional safeguard measures shall be counted as part of the initial period and any extension referred to in this Annex and the AfCFTA Guidelines.

4. Such measures shall take the form of tariff increases to be promptly refunded if the subsequent investigation referred to in this Annex and the AfCFTA Guidelines does not determine that increased imports have caused or threatened to cause Serious Injury to a Domestic Industry.

Article 6
Notification

1. In anti-dumping investigations, the Investigating Authority shall avoid, unless a decision has been made to initiate an investigation, any publicising of the application of initiation of any investigation according to the Anti-dumping Agreement, this Annex and the AfCFTA Guidelines. However, after receipt of a properly documented application, and before proceeding to initiate an investigation, the Investigating Authority shall notify the State Party concerned.

2. In subsidies and countervailing investigations, where the Investigating Authority is satisfied that there is sufficient evidence to justify the initiation of an investigation, the State Parties shall be notified.

3. In global safeguard investigations, a State Party shall immediately notify all State Parties of such initiation of the global safeguard investigations according to the WTO Agreement on Safeguards.

4. In preferential safeguard investigations, a State Party shall immediately notify such initiation of the preferential safeguard investigations according to this Annex and the AfCFTA Guidelines.

Article 7
Consultation

1. Once an Investigating Authority of a State Party has received a properly documented application in subsidies and countervailing cases, from its representative Domestic Industry, or upon its own initiative and upon establishment of a prima facie case, such State Party shall hold consultations as provided for in the AfCFTA Guidelines.

2. In preferential safeguard investigations an Investigating Authority of the State Party shall initiate consultations immediately after the provisional safeguard measure is taken.

3. An Investigating Authority intending to apply or extend the period of a safeguard measure shall provide adequate opportunity for prior consultations with the State Parties with substantial interest.

4. Where a mutually agreed solution is reached following consultation, a written agreement on the terms agreed upon shall be produced and the State Party concerned shall notify the Secretariat.

5. The written agreement referred to in paragraph 4 of this Article shall bind the State Parties involved and shall be implemented as provided for in the AfCFTA Guidelines.

6. If no agreed solution is reached, the State Party requesting the consultations shall proceed to initiate and complete its investigation and to implement appropriate measures in accordance with the provisions of the relevant WTO Agreements, this Annex and the AfCFTA Guidelines.

Article 8
Confidentiality

Information which is by nature confidential, or which is provided on a confidential basis by State Parties to an investigation, shall be treated as such by the Investigating Authorities and shall not be disclosed without specific permission of the parties submitting it.

Article 9
Transparency

1. All Interested Parties shall have an opportunity to defend their interests.

2. Notwithstanding paragraph 1 of this Article, there shall be no obligation on any party to attend a meeting, and failure to do so shall not be prejudicial to that party's case.

3. Interested Parties shall have the right, on justification, to present information orally.

4. Oral information referred to in paragraph 3 of this Article shall be taken into account by the authorities only in so far as it is subsequently reproduced in writing and made available to other Interested Parties.

Article 10
Technical Assistance

Technical Assistance to State Parties shall be provided by the Secretariat in collaboration with partners, on request by such State Parties, in order to enhance the capacities of State Parties in the application of trade remedies measures in accordance with the provisions of this Annex and the AfCFTA Guidelines.

Article 11
Capacity Building and Cooperation

1. The Secretariat shall in collaboration with partners facilitate training and capacity building programmes in order to assist State Parties with the implementation of trade remedies as provided for in this Annex and the AfCFTA Guidelines, in the adoption of the necessary national legislation, the establishment of national investigating authorities and other required institutions, the training of officials and other stakeholders involved in the implementation of this Annex and the AfCFTA Guidelines.

2. State Parties are encouraged to cooperate in the area of trade remedies specifically in the dissemination of information to all relevant AfCFTA stakeholders and private parties.

Article 12
Sub-Committee on Trade Remedies

1. The Committee for Trade in Goods shall, in accordance with Article 31 of the Protocol on Trade in Goods, establish a Sub-Committee on Trade Remedies.

2. The Sub-Committee shall be composed of duly designated representatives from State Parties and shall carry out the responsibilities assigned to it under this Annex or by the Committee on Trade in Goods.

Article 13
AfCFTA Guidelines on Implementation of Trade Remedies

1. The AfCFTA Guidelines on the Implementation of Trade Remedies shall, upon adoption, form an integral part of this Annex.

2. Pending the adoption of the AfCFTA Guidelines, the relevant provisions of the WTO Agreements, national legislation and regional economic communities agreements relating to trade remedies may apply, where applicable.

Article 14
Dispute Settlement

Any dispute between the State Parties arising out of or relating to the interpretation or application of any provision of this Annex and its Guidelines, shall be settled in accordance with the Protocol on Rules and Procedures on the Settlement of Disputes taking into account the special nature of trade remedies.

Article 15
Review and Amendment

This Annex shall be subject to review and amendments in accordance with Articles 28 and 29 of the Agreement.

ANNEXES TO THE PROTOCOL ON RULES AND PROCEDURES ON THE SETTLEMENT OF DISPUTES

Annex 1

WORKING PROCEDURES OF THE PANEL

Under Article 15 (10)

1. The Panel shall meet in closed session. Any other party shall be present at the meetings only when invited by the Panel to appear before it.

2. The deliberations of the Panel and the documents submitted to it shall be kept confidential. Nothing in this Protocol shall preclude a Party to a Dispute from disclosing statements of its own position to the public.

3. Parties to a Dispute and any other party shall treat as confidential all information presented by another Party to a Dispute to the Panel which that Party to a Dispute has designated as confidential.

4. Where a Party to a Dispute or a Third Party submits a confidential version of its written submissions to the Panel, it shall also, upon request by a Party to a dispute, provide a non-confidential summary of the information contained in its submissions that could be disclosed to the public.

5. Before the first substantive meeting of a Panel with the Parties to a Dispute, the Panel shall request the Parties to a Dispute to submit written submissions presenting the facts of the case and arguments of the parties to the Dispute.

6. At the first substantive meeting of the Panel, the Complaining Party shall present its case and immediately thereafter the Party against whom the complaint is brought shall present its case.

7. Third Parties who notify their interest in a dispute to the DSB shall be invited in writing to present their views at a session of the first substantive meeting set aside for that purpose and may be present during the entire session.

8. The Parties to a dispute shall submit their written rebuttals to the Panel prior to the second substantive meeting. Formal rebuttals shall be made at the second substantive meeting of the Panel and the Party against whom a complaint is brought shall have the right to be heard first.

9. The Panel may at any time request the Parties to a Dispute for written or oral explanations at a meeting in which the Parties to the Dispute are present. Oral explanations shall be taken into account by the Panel only in so far as it is subsequently reproduced in writing and made available to other Parties. The Parties to the Dispute and any Third Party invited to present its views in accordance

with Article 13 of the Protocol on Rules and Procedures on the Settlement of Disputes, shall make available to the Panel a written version of their oral statements.

10. In the interest of transparency, presentations, rebuttals and statements including the submissions of the Parties to a Dispute shall be made available to the other Party or Parties without undue delay.

11. Each Party's written submissions, including any comments on the descriptive part of the report and responses to questions put by the Panel, shall be made available to the Party to the dispute or Third parties.

12. The Panel shall adopt a time table in accordance with Article 15 (2) and 15 (3) of the Protocol, taking into account the timetable proposed hereunder:

a)	receipt of first written submissions of the parties:	
	(i) Complaining Party:	3-6 weeks
	(ii) Party complained against:	2-3 weeks
b)	date, time and place of first substantive meeting with the Parties:	
	(i) Third Party sessions:	2 weeks
	(ii) Receipt of written rebuttals of the Parties:	2-3 weeks
c)	date, time and place of second substantive meeting with the Parties:	1-2 weeks
d)	Issuance of descriptive part of the report to the Parties:	2-4 weeks
e)	receipt of comments from the Parties on the descriptive part of the report:	2 weeks
f)	issuance of the interim report, including the findings and conclusions, to the parties:	2-4 weeks
g)	deadline for party to request review of part(s) of report:	1 week
h)	period of review by Panel, including	

	possible additional meeting with parties:	2 weeks
i)	issuance of final report to parties to the dispute:	2 weeks
j)	circulation of the final report to the State Parties:	3 weeks

Annex 2

Expert Review Groups

The following rules and procedures shall apply to expert review groups established in accordance with the provisions of paragraph 6 of Article 16 of the Protocol on the Rules and Procedures on the Settlement of Disputes:

(a) experts shall be under the Panel's authority. Their terms of reference and detailed working procedures shall be decided by the Panel, and they shall report to the Panel;

(b) participation as experts shall be restricted to persons of professional standing and experience in the field in question;

(c) citizens of Parties to the Dispute shall not serve as experts without the joint agreement of the Parties to the Dispute, except in exceptional circumstances where the Panel considers that the need for specialised scientific expertise cannot be fulfilled otherwise;

(d) government officials of Parties to the dispute shall not serve on an expert review group. Members of expert review groups shall serve as experts in their individual capacities and not as government representatives, nor as representatives of any organisation. Governments or organisations shall therefore not give them instructions with regard to matters before them;

(e) experts may consult and seek information and technical advice from any source they deem appropriate. Before an expert seeks information or advice from a source within the jurisdiction of a State Party, that expert shall inform the government of that State Party. Any State Party shall respond promptly and fully to any request by an expert for such information as the expert considers necessary and appropriate;

(f) the Parties to a Dispute shall have access to all relevant information provided to an expert, unless it is of a confidential nature. Confidential information provided to the expert shall not be disclosed without formal authorisation from the government, organisation or person providing the information. Where such information is requested from the expert but release of such information by the expert is not authorised, a non-confidential summary of the information will be provided by the government, organization or person supplying the information; and

(g) the expert shall submit a draft report to the Parties to the Dispute with a view to obtaining their comments, and taking them into account, as appropriate, in the final report, which shall also be issued to the parties to the Dispute when it is submitted to the Panel. The final report of the expert shall be advisory only.

Annex 3

CODE OF CONDUCT FOR ARBITRATORS AND PANELISTS

Article 1

Commitment to the Process

1. The arbitrators and Panelists shall abide by the terms of the Agreement.

2. The arbitrators and Panelists shall be independent and impartial, shall avoid direct or indirect conflict of interest and shall respect the confidentiality of the proceedings as provided in the Protocol on Rules and Procedures on the Settlement of Disputes so as to preserve the integrity and impartiality of the dispute settlement mechanism.

Article 2

Disclosure Obligations

1. To ensure the observance of this Code, each arbitrator and Panelist shall prior to the acceptance of their selection disclose the existence of any interest, relationship or matter that they could reasonably be expected to know and that is likely to affect or could raise justifiable doubt as to the arbitrator or Panelist´s independence or impartiality, including public statements of personal opinion on issues relevant to the Dispute and any professional relationship with any person or organisation with an interest in the case.

2. The disclosure obligation referred to in paragraph 1 of this Article shall be a continuing duty which requires an arbitrator or Panelist to disclose any such interests, relationships or matters that may arise during any stage of the proceeding. The arbitrator or Panelist shall disclose such interests, relationships or matters to the DSB in writing, for consideration by the Parties.

Article 3

Duties of Arbitrators and Panelists

1. Upon selection, an arbitrator or a Panelist shall perform his or her duties thoroughly and expeditiously throughout the course of the proceedings, with fairness and diligence.

2. An arbitrator or Panelist shall consider only those issues raised in the proceedings and necessary for an award. They shall not delegate this duty to any other person.

3. An arbitrator or Panelist shall not engage in *ex parte* contact concerning the proceedings.

4. Experts shall notify the Panel of arbitrators about any attempt to interfere in the proceedings or in the missions that are entrusted to them by any Party

Article 4

Independence and Impartiality of Arbitrators and Panelists

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5. An arbitrator or Panelist shall exercise his or her position without accepting or seeking instruction from any government, inter-governmental, or non-governmental organisation or any private source.

6. An arbitrator or Panelists shall not have intervened in any previous stage of the dispute assigned to him or her.

7. An arbitrator or Panelist shall be independent and impartial and shall not be influenced by self-interest, political considerations or public opinion.

8. An arbitrator or Panelist shall not, directly or indirectly, incur any obligation or accept any benefit that would in any way interfere with, or which could give rise to justifiable doubts as to, the proper performance of his/her duties.

9. An arbitrator or Panelist may not use his/her position on any Panel to advance any personal or private interests.

10. An arbitrator or Panelist shall not allow financial, business, professional, family or social relationships, to influence his or her conduct, judgment or impartiality.

Article 5
Confidentiality

1. Any current or former arbitrator or Panelist shall not at any time, disclose or use any confidential information concerning a proceeding or acquired during proceedings except for the purposes of those proceedings and shall not disclose or use any such confidential information to gain personal advantage or advantage for others or to adversely affect the interest of others.

2. An arbitrator shall not disclose the contents of an award prior to its publication.

3. A Panelist shall not disclose the contents of a Panel report prior to its circulation to the State Parties.

4. Any current or former arbitrator or Panelist shall not at any time disclose the deliberations of a Panel, arbitration proceedings or any Panelist's view.

5. Any current or former arbitrator or Panelist that breaches or discloses any confidential information concerning the proceedings shall be subject to sanctions as shall be deemed fit by the DSB.